JARIR MARKETING COMPANY
(A Saudi Joint Stock Company)

CONSOLIDATED FINANCIAL STATEMENTS

For the year ended December 31, 2025
and Independent Auditor's Report

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Ernst & Young Professional Services (Professional LLC)
Paid-up capital (⃁5,500,000 – Five million five hundred thousand Saudi Riyal)

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INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF JARIR MARKETING COMPANY
(A SAUDI JOINT STOCK COMPANY)

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Jarir Marketing Company (A Saudi Joint Stock Company) and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2025, and the consolidated statement of income, consolidated statement of comprehensive income, consolidated statement of changes in shareholders' equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) that is endorsed in the Kingdom of Saudi Arabia, as applicable to audit of consolidated financial statements of public interest entities. We have fulfilled our other ethical responsibilities in accordance with that Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)
TO THE SHAREHOLDERS OF JARIR MARKETING COMPANY
(A SAUDI JOINT STOCK COMPANY)

Key Audit Matters (Continued)

Key audit matter	How our audit addressed the key audit matter
Revenue recognition The Group's revenue totalling SR 11.4 billion during the year ended 31 December 2025 (2024: SR 10.6 billion) consists primarily from sales of retail outlets, wholesale and e-commerce. Revenue recognition is considered to be a key audit matter as the revenue is one of the key measures of the Group's performance. Further, the major source of the Group's revenue is directly through cash sales, these factors present risk of revenue recognition. **Refer to note (2.14) to the consolidated financial statements for the accounting policy of revenue recognition and note (19) for revenue disclosure.**	Our audit procedures included, among others, the following: • Assessed the Group's internal controls system over the recognition of revenue; • Involved IT Audit specialists to evaluate the design and implementation and tested the operating effectiveness of key application controls identified relating to revenue recognition; • Evaluated the Group's revenue recognition policy for compliance with IFRS 15 -Revenue from contracts with customers; • Tested, on a sample basis, transactions taking place before and after the consolidated financial statements date to evaluate whether revenue was recognised in the proper accounting period; • Tested, on a sample basis, daily cash deposits back to the daily sales report; • Performed analysis for material variances by comparing the current year's revenue with the historical trend (based on segments and product categories), and discussed material variances, if any; and • Assessed the adequacy of the relevant disclosures in the consolidated financial statements.

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Key Audit Matters (Continued)

Key audit matter	How our audit addressed the key audit matter
Existence and valuation of inventories As at 31 December 2025, the gross value of inventories amounted to Saudi Riyals 1.94 billion (2024: SR 2 billion) and the provision for slow moving inventory items amounted Saudi Riyals 228 million (2024: SR 208 million). The Group has cyclical and periodical inventory count system in place to conduct the stock count in retail outlets and warehouses throughout the year. The Group's significant purchases are covered under the agreement with certain vendors where the Group is able to return the damaged inventory. We considered it to be a key audit matter given that: • The Group deals with significant values of inventory items at multiple locations with high volume of daily transactions which increases the risks associated with inventory; and • Significant judgement and assumptions applied by the Group management in assessing the level of provisions required as of yearend. **Refer to note (2.1) to the consolidated financial statements for the critical accounting estimates and judgements and note (2.5) for the material accounting policy of inventories and note (5) for the disclosure of inventories.**	Audit procedures included, among others, the following: • Attended a sample of inventory counts of the retail outlets and warehouses, to validate counts performed by the Group. Also, we evaluated the stock-taking process, which included understanding how stock movements are controlled and managed during the count, and assessed its reasonableness • Involved IT Audit specialists to evaluate the design and implementation and tested the operating effectiveness of key controls identified relating to inventories; • Evaluated the assumptions made by Group management, and particularly the key assumption that current system provision levels are consistent with historical pattern, in assessing stock obsolescence provisions through an analysis of inventory items by category and age as well as the level of inventory write downs in relevant categories during the year. • Assessed reasonableness of the assumptions used in estimating the provision including reviewing of accuracy and completeness of the key inputs; • Assessed the adequacy of the related disclosure in the consolidated financial statements of the Group.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)
TO THE SHAREHOLDERS OF JARIR MARKETING COMPANY
(A SAUDI JOINT STOCK COMPANY)

Other information included in The Group's 2025 Annual Report

Other information consists of the information included in the Group's 2025 annual report, other than the consolidated financial statements and our auditor's report thereon. Management is responsible for the other information in its annual report. The Group's 2025 annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants and the applicable provisions of the Regulations for Companies and Company's By-laws, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance i.e, the Audit Committee is responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)
TO THE SHAREHOLDERS OF JARIR MARKETING COMPANY
(A SAUDI JOINT STOCK COMPANY)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements (Continued)

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)
TO THE SHAREHOLDERS OF JARIR MARKETING COMPANY
(A SAUDI JOINT STOCK COMPANY)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements (Continued)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

for Ernst & Young Professional Services

Marwan S. AlAfaliq
Certified Public Accountant
License No. (422)

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CR. 1010383821
شركة إرنست ويونغ للخدمات المهنية
(مهنية ذات مسؤولية محدودة)
Ernst & Young Professional Services
(Professional LLC)

Riyadh: 11 Shawwal 1447H
(30 March 2026)

JARIR MARKETING COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
(All amounts in Saudi Riyals thousands unless otherwise stated)

	Note	***As at December 31,*** **2025**	*2024*
ASSETS			
CURRENT ASSETS			
Cash and cash equivalents	3	**270,963**	32,835
Trade receivables	4	**189,043**	173,978
Inventories	5	**1,709,401**	1,816,658
Prepayments and other assets	6	**353,794**	325,551
TOTAL CURRENT ASSETS		**2,523,201**	2,349,022
NON-CURRENT ASSETS			
Financial assets at fair value through profit or loss	7	**40,460**	40,460
Investment properties	8	**240,591**	260,762
Right-of-use assets	9	**614,696**	627,402
Property and equipment	10	**997,080**	995,048
TOTAL NON-CURRENT ASSETS		**1,892,827**	1,923,672
TOTAL ASSETS		**4,416,028**	4,272,694
LIABILITIES AND SHAREHOLDERS' EQUITY			
LIABILITIES			
CURRENT LIABILITIES			
Bank borrowings and term loans	11	-	39,696
Lease liabilities	31	**148,470**	149,464
Accounts payable	12	**1,328,753**	1,204,027
Accrued expenses and other liabilities	13	**293,716**	246,273
Employees' incentive program		-	14,424
Deferred income	14	**11,305**	12,686
Zakat payable	15	**55,136**	69,003
TOTAL CURRENT LIABILITIES		**1,837,380**	1,735,573
NON-CURRENT LIABILITIES			
Lease liabilities	31	**595,770**	602,596
End of service benefits	16	**212,936**	185,315
Employees' incentive program		**6,121**	2,207
Deferred income	14	**1,760**	2,151
TOTAL NON-CURRENT LIABILITIES		**816,587**	792,269
TOTAL LIABILITIES		**2,653,967**	2,527,842
SHAREHOLDERS' EQUITY			
Share capital	18	**1,200,000**	1,200,000
Foreign exchange reserve	25	**(111,234)**	(112,618)
Retained earnings		**673,295**	657,470
NET SHAREHOLDERS' EQUITY		**1,762,061**	1,744,852
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		**4,416,028**	4,272,694

JARIR MARKETING COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF INCOME
(All amounts in Saudi Riyals thousands unless otherwise stated)

	Note	*Year ended December 31,* **2025**	*2024*
Revenue	19	**11,365,153**	10,619,263
Cost of revenue	20	**(9,948,916)**	(9,294,804)
Gross profit		**1,416,237**	1,324,459
General and administrative expenses	21	**(153,960)**	(144,349)
Selling and marketing expenses	22	**(221,988)**	(202,941)
Other income, net	23	**84,637**	75,591
Income from operations		**1,124,926**	1,052,760
Finance cost	11.1	**(52,114)**	(51,880)
Finance income	24	**4,545**	3,640
Income before zakat and income tax		**1,077,357**	1,004,520
Zakat	15	**(27,250)**	(30,500)
Income tax	15	**(915)**	(65)
Net income for the year		**1,049,192**	973,955
All attributable to the shareholders of the Company.			
Earnings per share (Saudi Riyals):			
Basic and diluted earnings per share	26	**0.87**	0.81

JARIR MARKETING COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
(All amounts in Saudi Riyals thousands unless otherwise stated)

	Note	*Year ended December 31,* **2025**	*2024*
Net income for the year		**1,049,192**	973,955
Other comprehensive income (loss) that may be reclassified subsequently to the consolidated statement of income			
Exchange differences on translation of foreign operations	25	**1,384**	(6,681)
Other comprehensive (loss) income that will not be reclassified subsequently to the consolidated statement of income			
Remeasurement of end of service benefits	16	**(1,367)**	2,018
Other comprehensive income (loss) for the year		**17**	(4,663)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		**1,049,209**	969,292

All attributable to the shareholders of the Company.

The notes on pages 12 to 56 form an integral part of these consolidated financial statements.

JARIR MARKETING COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY
(All amounts in Saudi Riyals thousands unless otherwise stated)

	Note	*Share capital*	*Foreign exchange reserve*	*Retained earnings*	*Total*
January 1, 2025		**1,200,000**	**(112,618)**	**657,470**	**1,744,852**
Net income for the year		**-**	**-**	**1,049,192**	**1,049,192**
Other comprehensive (loss) income for the year		**-**	**1,384**	**(1,367)**	**17**
Total comprehensive income for the year		**-**	**1,384**	**1,047,825**	**1,049,209**
Transactions with owners in their capacity as owners:					
Dividends	27	**-**	**-**	**(1,032,000)**	**(1,032,000)**
December 31, 2025		**1,200,000**	**(111,234)**	**673,295**	**1,762,061**
January 1, 2024		1,200,000	(105,937)	677,497	1,771,560
Net income for the year		-	-	973,955	973,955
Other comprehensive (loss) income for the year		-	(6,681)	2,018	(4,663)
Total comprehensive income for the year		-	(6,681)	975,973	969,292
Transactions with owners in their capacity as owners:					
Dividends	27	-	-	(996,000)	(996,000)
December 31, 2024		1,200,000	(112,618)	657,470	1,744,852

The notes on pages 12 to 56 form an integral part of these consolidated financial statements.

JARIR MARKETING COMPANY
(A Saudi Joint Stock Company)
CONSOLIDATED STATEMENT OF CASH FLOWS
(All amounts in Saudi Riyals thousands unless otherwise stated)

	Note	*Year ended December 31,* **2025**	*2024*
CASH FLOWS FROM OPERATING ACTIVITIES			
Net income for the year		**1,049,192**	973,955
Adjustments for non-cash items			
Depreciation	8,9,10	**186,827**	181,088
Impairment (reversal) losses on trade receivables	4	**435**	(10,411)
Provision for slow moving inventory	5	**20,025**	45,940
Gain on disposal of property and equipment		**(10,454)**	(67)
Gain on termination/modification of right of use assets		**(1,900)**	(1,563)
Zakat and income tax	15	**28,165**	30,565
Provision (reversal) for employees' incentives program		**1,478**	(4,182)
Provision for end of service benefits	16	**34,037**	28,041
Finance cost	11.1	**52,114**	51,880
Changes in working capital			
Trade receivable		**(15,500)**	57,335
Inventories		**87,232**	(214,683)
Prepayments and other current assets		**(32,124)**	(41,361)
Accounts payable		**124,415**	106,977
Accrued expenses and other liabilities		**46,631**	26,457
Deferred income		**(1,772)**	(3,977)
Employees' incentive program paid		**(11,988)**	(8,086)
Zakat and income tax paid	15	**(41,191)**	(35,066)
Finance cost paid		**(50,173)**	(50,061)
End of service benefits paid	16	**(7,783)**	(18,973)
Net cash generated from operating activities		**1,457,666**	1,113,808
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to investment properties	8	**-**	(393)
Additions to property and equipment	10	**(83,755)**	(62,718)
Proceeds from sale of property and equipment		**45,506**	539
Net cash utilized in investing activities		**(38,249)**	(62,572)
CASH FLOWS FROM FINANCING ACTIVITIES			
Payment of lease liabilities	31	**(109,435)**	(107,388)
Receipt of bank borrowing and term loans, net		**(39,696)**	34,280
Dividends paid	27	**(1,032,000)**	(996,000)
Net cash utilized in financing activities		**(1,181,131)**	(1,069,108)
Net increase (decrease) in cash and cash equivalents		**238,286**	(17,872)
Effect of exchange rate changes in cash and cash equivalents		**(158)**	676
Cash and cash equivalents at beginning of the year		**32,835**	50,031
Cash and cash equivalents at end of the year	3	**270,963**	32,835
Non-cash financing and investing activities	8, 9		

(All amounts in Saudi Riyals thousands unless otherwise stated)

1 GENERAL INFORMATION

Jarir Marketing Company (the "Company") is a Saudi joint stock company formed pursuant to the resolution of the Ministry of Commerce Number 1193 dated Rajab 11, 1421H (corresponding to October 8, 2000) and is registered in Riyadh, Kingdom of Saudi Arabia under the Unified National No. 7000953104 and Commercial Registration Number 1010032264 dated Shaa'ban 18, 1400H (corresponding to July 1, 1980).

The Company's registered office is based in Riyadh. As at December 31, 2025, the Company had 75 retail showrooms (2024: 73 retail showrooms) in the Kingdom of Saudi Arabia and the other Gulf countries, in addition to real estate investments in the Arab Republic of Egypt through Jarir Egypt Real Estate Company SAE.

The Company's share capital amounting to Saudi Riyals 1,200 million, as of December 31, 2025, is divided into 1,200 million ordinary shares of par value Saudi Riyals 1 each.

The objectives of the Company and its subsidiaries (collectively referred to as the "Group") include; retail and wholesale trading in office and school supplies, smartphones and accessories, books, educational aids, office furniture, engineering equipment, computers and computer systems, electronic and electrical devices, video games and accessories, maintenance of computers, smartphones and electronic and electrical devices, sports and scout equipment and paper. It also includes, purchase of residential and commercial buildings and the acquisition of land to construct buildings for sale or lease for the interest of the Company.

The accompanying consolidated financial statements comprise the financial statements of the Company and its following subsidiaries:

	Subsidiary/ branch	*Country of incorporation*	*Direct and indirect ownership as at December 31,*	
			2025	*2024*
Jarir Bookstore (United Company for Office Supplies) WLL	Subsidiary	Qatar	**100%**	100%
Jarir Trading Company LLC	Subsidiary	UAE	**100%**	100%
United Bookstore	Subsidiary	UAE	**100%**	100%
Jarir Marketing Company, Sharjah branch	Branch	UAE	**100%**	100%
Jarir International Central Market WLL	Subsidiary	Kuwait	**100%**	100%
Jarir Egypt Real Estate Company - SAE	Subsidiary	Egypt	**100%**	100%
Jarir Marketing Bahrain WLL	Subsidiary	Bahrain	**100%**	100%

Certain ownership interests in the subsidiaries are registered in the name of trustees who have formally assigned their shares to the Company.

The accompanying consolidated financial statements were approved by the Company's Board of Directors on Shawal 11, 1447 (corresponding to March 30, 2026).

2 MATERIAL ACCOUNTING POLICY INFORMATION

Material accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies are consistently applied to all periods presented, except if mentioned otherwise.

2.1 Basis of preparation

(i) Statement of Compliance
These consolidated financial statements have been prepared in accordance with International Financial Reporting Standards as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA"), collectively hereafter referred to as "IFRS".

The amounts in the consolidated financial statements have been presented in Saudi Riyals with all values rounded to the nearest thousand except where stated otherwise.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.1 Basis of preparation (continued)

(ii) Historic cost convention

These consolidated financial statements have been prepared under the historical cost convention, as modified for financial assets at fair value through profit or loss and by using the actuarial basis for end of service benefits, on the accrual basis of accounting.

(iii) Critical accounting estimates and judgments

The preparation of consolidated financial statements requires management to use judgment in applying its accounting policies and estimates and assumptions about the future. Estimates and other judgments are continuously evaluated and are based on management's experience and other factors, including expectations about future events that are believed to be reasonable under the circumstances. Although these estimates and judgments are based on management's best knowledge of current events and actions, actual results ultimately may differ from those estimates. The estimates and assumptions that have a risk of causing an adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

(a) Impairment test for non-financial assets

Judgment is required in assessing whether certain factors would be considered an indicator of impairment. Management considers both internal and external information to determine whether there is an indicator of impairment present and, accordingly, whether impairment testing is required. When impairment testing is required, discounted cash flow models are used to determine the recoverable amount of respective assets. When market transactions for comparable assets are available, these are considered in determining the recoverable amount of assets. Significant assumptions used in preparing discounted cash flow models include growth rates, expected future cash flows, operating costs, capital expenditures and discount rates. These inputs are based on management's best estimates of what an independent market participant would consider appropriate. Changes in these inputs may alter the results of impairment testing, the amount of the impairment charges recorded in the consolidated statement of income and the resulting carrying values of assets.

(b) Financial assets at fair value through profit or loss (FVTPL)

These financial assets represent investments in unquoted equity instruments. Fair value is determined using appropriate valuation techniques in accordance with IFRS 13. However, where there is insufficient recent information available to measure fair value, and in the absence of indictors that fair value could be significantly differ from cost, the Group uses cost as a proxy for fair value as assessed by management to be the best estimate of fair value. Management reviews these investments and reassesses both the availability of sufficient information and the existence of any indicators that cost does not represent or approximate fair value. Where sufficient information becomes available or indicators of a change in fair value are identified, fair value is estimated and the carrying amount of investments is remeasured to fair value when the resulting difference is material.

(c) Assumptions for end of service benefits provision

The calculation of end of service benefits provision depends on employees' estimated length of service and their estimated salary at end of service. Such estimates were based on the actuarial assumptions developed by management. Those actuarial assumptions were based on the Group's historical data, recent trends, and management plans and forecasts with respect to salary levels.

Life expectancy is not considered a principal actuarial assumption in measuring end of service benefits provision and therefore, possible changes in life expectancy are not expected to have a significant impact on the level of obligation, especially since only a few employees are assumed to serve until the retirement age. Moreover, changes in life expectancy will affect the estimates related to those employees only if life expectancy becomes less than retirement age and, in such cases, the impact is not expected to be significant.

The discount rate was estimated by reference to yields on the governmental bonds, as management assessed that there is no deep market in high quality corporate bonds. The Group used a single discount rate that approximates the estimated timing and amount of benefit payments.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.1 Basis of preparation (continued)

(iii) Critical accounting estimates and judgments (continued)

(d) Provision for impairment of trade receivables

The impairment provision for trade receivables is estimated based on assumptions about risk of default and expected loss rates. The Group uses judgement in making such assumptions and how changes in market and economic factors affect expected credit loss. The Group's judgement is based on the Group's past historical trends, market conditions and forward-looking estimates at each reporting date.

(e) Provision for slow moving inventories

Provision for slow moving inventories is maintained at a level considered adequate to provide for potential loss on inventory items. The level of allowance is determined and guided by the Group's policy. An evaluation of inventories, designed to identify potential charges to provision, is performed on a continuous basis throughout the year. Management uses judgment based on the best available facts and circumstances, including but not limited to evaluation of individual inventory items' future utilization. The amount and timing of recorded expenses for any period would therefore differ based on the judgments or estimates made. An increase in provision for slow moving inventories would increase the Group's recorded expenses and decrease current assets.

(f) Determining the lease term

The Group as lessee determines the lease term as the non-cancellable period of a lease, together with both (a) periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option and (b) periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option. For contracts that include extension and termination options, the Group uses judgement in evaluating whether it is reasonably certain whether to exercise the option to renew or terminate the lease. In doing so, it considers all relevant factors that create an economic incentive for it to exercise the renewal or termination. Those factors include current and expected showroom performance, availability, cost and other terms of substitutes, magnitude of leasehold improvements, length of extension or renewal, and cost of extension or renewal. Following the commencement date, the Group reassesses whether it is reasonably certain to exercise an extension option, or not to exercise a termination option, upon the occurrence of either a significant event or a significant change in circumstances that is within the control of the Group and affects whether it is reasonably certain to exercise an option not previously included in its determination of the lease term, or not to exercise an option previously included in its determination of the lease term.

(iv) *New IFRS standards, amendment to IFRS standards and interpretations that are effective for the current period*

There were no new standards issued, however, the following amendment to standards, relevant for the Group, is effective for annual reporting periods beginning on January 1, 2025 and has been applied by the Group for the first time in the reporting periods commencing on or after this date:

- Amendments to IAS 21: Lack of Exchangeability. The amendments clarify how an entity should assess whether a currency is exchangeable, how it should determine a spot exchange rate when exchangeability is lacking, and require certain disclosures. The amendments apply for annual reporting periods beginning on or after January 1, 2025.

Application of the above amendments by the Group did not have any effect on the Group’s consolidated financial statements, but the amendments might have an impact on the Group's consolidated financial statements in future periods, considering its foreign operations in Egypt.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.1 Basis of preparation (continued)

(v) New IFRS standards, amendments to IFRS standards and interpretations not yet effective

The following IFRS accounting standards and amendment to standards have been published by IASB but are not yet effective up to the date of issuance of these financial statements. Early application is permitted by these standards and amendments but the Group has not early adopted.

- Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures.

The amendments address the following topics:

- Derecognition of a financial liability settled through electronic transfer allowing an entity to consider a financial liability as discharged before the settlement date if specified criteria are met,
- Providing guidance on whether contractual cash flows of a financial asset are consistent with a basic lending arrangement,
- Enhancing the description of the term non-recourse,
- Clarifying the characteristics of contractually linked instruments,
- Disclosure of investments in equity instruments designated at FVTOCI and contractual terms that could change the timing or amount of contractual cash flows, and
- Addressing recognition and disclosure of contracts to buy or sell electricity from renewable sources.
- Contracts Referencing Nature-dependent Electricity:
  - Clarify the application of the ‘own-use’ requirements for in-scope contracts
  - Amend the designation requirements for a hedged item in a cash flow hedging relationship for in-scope contracts
  - Add new disclosure requirements to enable investors to understand the effect of these contracts on a company’s financial performance and cash flows

These amendments are effective for reporting periods beginning on or after 1 January 2026 and shall be applied retrospectively.

These amendments are not expected to have a material impact on the Group’s financial statements.

- Annual Improvements to IFRS Accounting Standards - Volume 11. The amendments comprised nine narrow scope amendments issued as part of the periodic maintenance of IFRS accounting standards, which included clarifications, simplifications, corrections or changes to improve consistency in the following standards:
  - IFRS 1 First-time Adoption of IFRS: improve consistency with the requirements in IFRS 9 regarding hedge accounting and to add cross-references to improve the understandability of IFRS 1.
  - IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures, improve wording and references for consistency, clarity and alignment with other standards.
  - IFRS 10 Consolidated Financial Statements: clarifies the determination of whether a party is acting as a de facto agent.
  - IAS 7 Statements of Cash Flows: Amends paragraph 37 to replace the term ‘cost method’ with ‘at cost’ regarding the reporting related to investments in subsidiaries, associates and joint ventures.

These amendments are effective for reporting periods beginning on or after 1 January 2026 with earlier application permitted.

These amendments are not expected to have a material impact on the Group’s financial statements.

- IFRS 18 Presentation and Disclosures in Financial Statements. IFRS 18 will replace IAS 1 Presentation of Financial Statements, introducing new requirements that will help achieve comparability of the financial performance of similar entities and provide more relevant information and transparency to users. Even though IFRS 18 will not impact the recognition or measurement of items in the financial statements, its impacts on presentation and disclosure are expected to be pervasive, in particular those related to the statement of income. The main new requirements introduced by IFRS 18 relate to the structure of the statement of income with defined subtotals, requirements to determine the most useful structure summary for presenting expenses in the statement of income, providing disclosures on management-defined performance measures in the notes to the financial statements; and enhanced principles on aggregation and disaggregation. IFRS 18 is effective for reporting periods beginning on or after January 1, 2027 and will apply retrospectively.

The Group is currently working to identify impacts this standard could have on the consolidated financial statements.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.1 Basis of preparation (continued)

(v) New IFRS standards, amendments to IFRS standards and interpretations not yet effective (continued)

- IFRS 19 Subsidiaries without Public Accountability: Disclosures. IFRS 19 allows for certain eligible subsidiaries of parent entities that report under IFRS to apply reduced disclosure requirements. A subsidiary is eligible for the reduced disclosures if at the end of the reporting period it is a subsidiary, including an intermediate parent, does not have public accountability, and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS. IFRS 19 is effective for reporting periods beginning on or after January 1, 2027.

The Group views that IFRS 19 will not be applied for purposes of the consolidated financial statements of the group.

2.2 Basis of consolidation

Consolidated financial statements comprise the financial statements of the Company and its subsidiaries. Subsidiaries are those entities which the Company controls. The Company controls an investee if, and only if, the Company has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

The presumption is that a majority of voting rights results in control. All relevant activities are directed by the Company being the holder of all the voting rights. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

The acquisition method of accounting is used to account for the acquisition of subsidiaries. The consideration transferred for the acquisition of subsidiary comprises the:

- The fair value of the assets transferred;
- Liabilities incurred to the former owners of the acquired business;
- Equity interest issued by the Group;
- Fair value of any asset or liability resulting from a contingent consideration arrangement; and
- Fair value of any pre-existing equity interest in the subsidiary.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date. The Group recognizes any non-controlling interest in the acquired entity on an acquisition-by-acquisition basis at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets.

Acquisition-related costs are expensed as incurred.

Non-controlling interests, if any, represent equity interests in subsidiaries owned by outside parties. Non-controlling interests, in the results and equity of subsidiaries are shown separately in the consolidated statement of income, statement of comprehensive income, statement of changes in shareholders' equity and statement of financial position respectively.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.3 Foreign currency

The consolidated financial statements are presented in Saudi Riyals, which is the Company's functional currency and the Group's presentation currency. Each subsidiary in the Group determines its own functional currency (which is the currency of the primary economic environment in which the entity operates), and as a result, items included in the financial statements of each subsidiary are measured using that functional currency.

Foreign currency transactions are translated into Saudi Riyals using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at the period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the consolidated statement of income.

The results and financial position of foreign operations (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the Group's presentation currency are translated into the presentation currency as follows:

- Assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position and

- Income and expenses for each statement of income and statement of comprehensive income are translated at average exchange rates (unless this is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions).

On consolidation, exchange differences arising from the translation of any net investment in foreign entities, are recognized in other comprehensive income. When a foreign operation is sold, the associated exchange differences are reclassified to profit or loss, as part of the gain or loss on sale.

Exchange differences on monetary items receivable from or payable to a foreign operation for which settlement is neither planned nor likely to occur and therefore in substance forms a part of the Company's net investment in that foreign operation, are recognized in equity through other comprehensive income and reclassified to the profit or loss on disposal of the net investment.

2.4 Financial instruments

(a) Initial recognition and measurement of financial instruments

The Group initially recognizes financial assets and financial liabilities when it becomes party to the contractual provisions of the financial instrument.

Trade receivables that do not have a significant financing component, initial measurement is at their transaction price, which is the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Except for trade receivables that do not have a significant financing component, initial measurement of the financial instrument is at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss (FVTPL), transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability. Transaction costs of financial assets carried at FVTPL are expensed in the consolidated statement of income.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.4 Financial instruments (continued)

(b) Financial assets - subsequent classification and measurement

Financial assets are subsequently measured at amortized cost, fair value through other comprehensive income or fair value through profit or loss. There are two criteria used to determine how financial assets should be classified and measured:

(i) The Group's business model for managing the financial assets and

(ii)The contractual cash flow characteristics of the financial asset.

Key management personnel have determined that the Group's financial assets are held within a business model whose objective is to hold financial assets in order to collect cash flows.

A financial asset is measured at amortized cost if the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. Otherwise, a financial asset is measured at fair value through profit or loss (FVTPL).

Investments in equity instruments are measured at fair value, and the Group did not elect to present in other comprehensive income subsequent changes in the fair value of such investment in an equity instrument.

For investments in unquoted equity, if insufficient more recent information is available to measure fair value and in the absence of indictors that fair value could significantly differ from cost, or if there is a wide range of possible fair value measurements and cost represents the best estimate of fair value within that range, cost may be an appropriate estimate of fair value.

Financial assets are only reclassified between measurement categories, when and only when, the Group's business model for managing them changes, which is expected to be uncommon.

The Group derecognizes a financial asset when the rights to the cash flows from the financial asset have expired or where the Group has transferred substantially all risks and rewards associated with the financial asset and does not retain control of the financial asset.

(c) Impairment of financial assets

The Group assesses on a forward-looking basis the expected credit losses associated with its assets carried at amortized cost.

As required by IFRS 9, the Group applies the simplified approach for trade receivables. As permitted by IFRS 9, the Group elected to apply the simplified approach for lease receivables, so the Group always measures the loss allowance at an amount equal to lifetime expected credit losses. The Group uses a provision matrix in the calculation of the expected credit losses on trade receivables to estimate the lifetime expected credit losses, applying certain provision rates to respective aging buckets. Trade receivables are segmented into two segments: *(i) wholesale and (ii) corporate sales, as each has its own credit loss pattern and, accordingly, different aging buckets and provision rates*.

Financial assets are written-off only when:

(i) The debt is at least one year past due;
(ii) The Group have attempted to recover and engaged in all relevant legal enforcement activities;
(iii) It is concluded that there is no reasonable expectation of recovery; and
(iv) The write-off is approved by the Board of Directors, or management to the extent delegated by the Board of Directors.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.4 Financial instruments (continued)

(c) Impairment of financial assets (continued)

Recoveries made are recognized in the consolidated statement of income.

(d) Financial liabilities - subsequent classification and measurement

Financial liabilities are subsequently measured at amortized cost using the effective interest method. The effective interest rate is the rate that discounts the estimated future cash payments through the expected life of the financial liability, or where appropriate, a shorter period to the net carrying amount on initial recognition.

The Group derecognizes a financial liability (or a part of a financial liability) from its consolidated statement of financial position when, and only when, it is extinguished, i.e. when the obligation specified in the contract is discharged or cancelled or expires.

(e) Cash and cash equivalents

Cash and cash equivalents include cash at banks and on hand and short-term deposits with a maturity of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

(f) Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legally enforceable right to offset the recognized amounts and intends to settle them on a net basis or to realize the asset and settle the liability simultaneously.

2.5 Inventories

Inventories are carried at the lower of cost or net realizable value. Cost is determined using weighted average method. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated costs to sell.

2.6 Investment properties

Investment properties are properties held to earn rentals and/or for capital appreciation, including property under construction for such purposes.

Investment properties are stated at cost less of accumulated depreciation and/or accumulated impairment losses, if any. Cost includes expenditure that is directly attributable to the acquisition of the items.

Land is not depreciated. Capital work in progress is transferred to the appropriate investment properties category upon completion and depreciated from the point at which it is ready for use. Depreciation of buildings is calculated on a straight-line basis over the estimated useful life of 33 years. Significant parts of an item of investment properties are depreciated separately.

Investment properties are derecognized either when they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. If an investment property becomes owner-occupied, it is reclassified as property and equipment.

The difference between the net disposal proceeds and the carrying amount of the asset is recognized in the consolidated statement of income in the period of derecognition.

Investment properties also include the right-of-use assets that meet the definition of investment property as explained in note 2.7.

The Group discloses the fair values of investment properties in the notes to the annual consolidated financial statements.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.7 Lease accounting

The Group has applied IFRS 16 at the beginning of 2019 using the modified retrospective approach.

(i) The Group as a lessee

At the lease commencement date, the Group recognizes a right-of-use asset and a corresponding lease liability with respect to all lease agreements in which it is the lessee, except for short-term leases (leases with a lease term of 12 months or less) and leases of low-value assets, for which the Group recognizes the lease payments as an operating expense (unless they are incurred to produce assets) on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the Group uses its incremental borrowing rate. In general, the Group uses its incremental borrowing rate as the discount rate which has been used to measure all the lease liabilities recognized.

Lease payments included in the measurement of the lease liability comprise:
- Fixed lease payments (including in-substance fixed payments), less any lease incentives;
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- The amount expected to be payable by the lessee under residual value guarantees;
- The exercise price of purchase options, if the lessee is reasonably certain to exercise the options; and
- Payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is presented as a separate line in the consolidated statement of financial position, classified as current and non-current.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest rate method) and by reducing the carrying amount to reflect the lease payments made.

The Group remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- The lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.
- The lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is remeasured by discounting the revised lease payments using the initial discount rate (unless the lease payments change is due to a change in a floating interest rate, in which case a revised discount rate is used).
- A lease contract is modified, and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Right-of-use assets are depreciated over the shorter period of the lease term or the economic useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Group expects to exercise a purchase option, the related right-of-use asset is depreciated over the economic useful life of the underlying asset. The depreciation starts at the commencement date of the lease.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.7 Lease accounting (continued)

(i) The Group as a lessee (continued)

The right-of-use assets are presented as a separate line in the consolidated statement of financial position, unless the right-of-use asset meet the definition of investment property and in such case, it is presented in the consolidated statement of financial position within investment property.

Variable rents that do not depend on an index or rate are not included in the measurement the lease liability and the right-of-use asset, and the related payments are recognized as an expense (unless they are incurred to produce assets) in the period in which the event or condition that triggers those payments occurs.

(ii) The Group as a lessor

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease. To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. In such case the lease is a finance lease, otherwise it is an operating lease.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset.

If an arrangement contains lease and non-lease components, then the Group applies IFRS 15 to allocate the consideration in the contract. The Group applies the derecognition and impairment requirements in IFRS 9 to the finance lease receivables.

Lease payments received under operating leases are recognized as income on a straight-line basis over the lease term as part of other income.

2.8 Property and equipment

Property and equipment is stated at cost, net of accumulated depreciation and/or accumulated impairment losses, if any. Cost includes expenditure that is directly attributable to the acquisition of the items.

Major inspections are recognized in the carrying amount of the property and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the consolidated statement of income as incurred.

Land is not depreciated. Capital work in progress is transferred to the appropriate property and equipment category upon completion and depreciated from the point at which it is ready for use. Depreciation is calculated on a straight-line basis over the estimated useful lives of the assets as follows:

Buildings	20 - 33 years
Machinery and equipment	5 - 13.33 years
Furniture and fixtures	5 -10 years
Motor vehicles	4 years
Computers	5 years
Leasehold improvements	3 years

Significant parts of an item of property and equipment are depreciated separately.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statement of income when the asset is derecognized. When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property.

The residual values, useful lives and methods of depreciation of property and equipment are reviewed at each financial year-end and adjusted prospectively, if appropriate.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.9 Impairment of non-financial assets

The Group assesses at the end of each reporting period whether there is any indication that non-financial assets may be impaired.

Non-financial assets other than goodwill, if any, are tested for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable. Goodwill, if any, is tested for impairment annually. For the purpose of measuring recoverable amounts, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units 'CGUs'). Recoverable amount is the higher of an asset's fair value less costs of disposal and value in use (being the present value of the expected future cash flows of the relevant asset or CGU, as determined by management). When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Such impairment loss is recognized in the consolidated statement of income in the period it has occurred.

The Group assesses at the end of each reporting period whether there is any indication that an impairment loss recognized in prior periods for an asset other than goodwill, if any, may no longer exist or may have decreased. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. Such reversal is recognized in the consolidated statement of income. Impairment losses on goodwill, if any, are not reversible.

2.10 Assets held for sale

Non-current assets are classified as held for sale if their carrying amounts will be recovered primarily through a sale transaction rather than through continuing use.

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell.

The criteria for held for sale classification are regarded as met only when the sale is highly probable, and the asset is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the asset and the sale expected to be completed within one year from the date of the classification.

Such assets are not depreciated while it is classified as held for sale.

2.11 Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are not recognized for future operating losses.

Where the Group expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the consolidated statement of income net of any reimbursement.

2.12 Zakat and income taxes

The Company is subject to zakat in accordance with the regulations of Zakat, Tax and Customs Authority (“ZATCA"). Provision for zakat is computed in accordance with the regulations of ZATCA and is charged to the consolidated statement of income. Differences rising from final assessments are accounted for in the reporting period in which such assessments are finalized, with associated adjustments to zakat provision recognized in the consolidated statement of income.

The Company withholds taxes with non-residents as required under Saudi Arabian Income Tax Law, unless the applicable conventions for the avoidance of double taxation provide otherwise.

Foreign subsidiaries are subject to income taxes in their respective countries of domicile. Such income taxes are charged to the consolidated statement of income.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.13 Employee benefits

(a) Provision for end-of-service benefits

The level of benefit provided is based on the length of service and earnings of the person entitled, and computed in accordance with the rules stated under the Saudi Labor Law.

The liability for the end of service benefits, being a defined benefit plan, is determined using the Projected Unit Credit Method with actuarial valuations being conducted at end of annual reporting periods. The related liability recognized in the consolidated statement of financial position is the present value of the end of service benefits obligation at the end of the reporting period.

The discount rate applied in arriving at the present value of the end of service benefits obligation represents the yield on government bonds, by applying a single discount rate that approximately reflects the estimated timing and amount of benefit payments.

End of service benefits costs are categorized as follows:
(i) Current service cost (increase in the present value of end of service benefits obligation resulting from employee service in the current period);
(ii) Interest expense (calculated by applying the discount rate at the beginning of the period to the end of service benefits liability); and
(iii) Remeasurement.

Current service cost and the interest expense arising on the end of service benefits liability are included in the same line items in the consolidated statement of income of the related compensation cost.

Remeasurement, comprising actuarial gains and losses, is recognized in full in the period in which they occur, in other comprehensive income without recycling to the profit or loss in subsequent periods. Amounts recognized in other comprehensive income are recognized immediately in retained earnings.

(b) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognized for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

(c) Employees' incentive program

The Group adopts an employees' incentive program (the Program) whereby the Group grants selected employees the right to receive incentive cash compensation at the end of a vesting period if specified conditions are met. The amount of compensation is linked to the growth in net income as reported in the annual consolidated financial statements of the Group. Since the incentives are not expected to be settled wholly within twelve months after the end of the annual reporting period in which the employees render the related service, the liability for the Program is measured as the present value of the estimated future payments in respect of services provided by employees up to the reporting date using the Projected Unit Credit Method. The estimated future payments are discounted using the relevant yield on government bonds. Remeasurement is recognized in the consolidated statement of income in the period in which they arise. The liability for the Program is classified under current and non-current liability based on the expected date of settlement.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.14 Sales revenue

Sales revenue is measured based on the consideration specified in a contract with a customer excluding amounts collected on behalf of third parties, if any. The Group generally recognizes revenue at a point in time when it transfers control over a product to a customer, which typically occurs when the product is delivered to the customer. Sales revenue exclude value added tax (VAT) collected. Sales are shown in the consolidated statement of income net of returns and any discounts given.

For each revenue stream, the Group evaluates whether it is a principal, where revenue is recognized on a gross basis, or an agent, where revenue is recognized on a net basis reflecting the margin earned by the Group. The Group usually is a principal if it controls the specified good or service before that good or service is transferred to a customer, and it is an agent if its performance obligation is to arrange for the provision of goods or services by another party.

The following is a description of principal activities, from which the Group generates its revenue:

(i) Sales in retail outlets

The Group owns and operates a chain of retail outlets under the "Jarir bookstore" brand, selling office supplies, school supplies, books, computers and peripherals, computer supplies, smartphones and accessories, electronics, art and craft supplies, video games and kids' development products.

Sales revenue is recognized when the customer takes possession of the product sold by a Group entity. Payment of the transaction price is due immediately when the customer purchases the product.

The Group's return policy grants customers the right of return within three days with certain requirements and certain exceptions.

(ii) Wholesale

The Group sells office supplies, school supplies, computer supplies and art and craft supplies to other resellers. Sales are recognized when control of the products has transferred, being when the products are delivered to the reseller and there is no unfulfilled obligation that could affect the reseller's acceptance of the products. This type of sales involves credit terms of 30-90 days. Typically, wholesale goods are non-returnable, and goods might be returned only at management's discretion.

(iii) Sale to corporate customers

The Group sells office supplies, school supplies, computer supplies, and art and craft supplies to corporate customers for their own use. Sales are recognized when the products are delivered to the customer and the Group has objective evidence that all criteria for acceptance have been satisfied. Typically, this type of sales involves credit terms of 30-90 days, and for certain customers, goods are returnable within 90 days provided goods are in their original condition.

(iv) Online sales

Retail sales are also conducted online through "Jarir.com" website and "Jarir Bookstore app". Sales are recognized when the products are delivered to the customers by the shipping agent. Payment of the transaction price is normally received upon or before placing online orders and recognized as a liability until the recognition of sales.

For all types of sales, historical experience suggests that the amount of returns is immaterial, and accordingly, no refund liability is recognized at the time of sale. The validity of this conclusion is assessed at each reporting date. If the returns pattern changed, the Group would recognize a refund liability and corresponding asset (right to the returned goods) for products expected to be returned, with revenue and related cost of revenue adjusted accordingly.

In all the above types, the stated price is the transaction price, and the Group does not have contracts where the period between the transfer of the promised goods to the customer and payment by the customer exceeds one year, and as a result, the Group does not adjust transaction prices for the time value of money.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.14 Sales revenue (continued)

The Group typically sells computers, peripherals smartphone and other electronic devices with standard warranties that provide assurance to the consumer that the product will work as intended normally for 12 months to 24 months from the date of sale. Provision is made for estimated warranty claims in respect of products sold which are still under warranty at the end of the reporting period. The provision is estimated based on historical warranty claim information, suppliers' recommendation, and recent trends.

The Group typically sells its own gift vouchers to its customers. The amounts collected from such sales are recognized as a liability being a performance obligation and recognized as revenue when the gift vouchers are redeemed by the customers. Under the terms of the gift voucher, its validity is one year.

2.15 Cost of revenue and operating expenses

Cost of revenue consists of the costs previously included in the measurement of inventories that have been sold to customers, warehouse costs, cost of distribution to outlets, and all the costs of retail outlets including salaries, wages and benefits, operating expenses, depreciation and occupancy costs.

Other operating expenses are classified as either general and administrative or selling and marketing expenses.

2.16 Rental revenue

Rental revenue from operating leases on investment properties as well as subleases within leased properties where the Group is lessee is accounted for on a straight-line basis over the lease term and recognized in the consolidated statement of income. Rents received in advance represent rents collected from tenants and are unearned at the reporting date and presented under current liability in the consolidated statement of financial position. Operating lease receivables represent the amount of rent receivables arising from operating lease contracts. Rental revenue from these properties is included under 'other income' in the consolidated statement of income.

2.17 Finance charges

Financing charges, if any, are recognized within finance costs in the consolidated statement of income using the effective interest rate method, except for borrowing costs relating to qualifying assets, if any, which are capitalized as part of the cost of that asset.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating the interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments throughout the expected life of the financial instrument to the net carrying amount of the financial liability.

2.18 Earnings per share

The Group presents basic, and diluted (if any), earnings per share (EPS) data for its common shares. Basic EPS is calculated by dividing the profit or loss attributable to common shareholders of the Company by the weighted average number of common shares outstanding during the period, adjusted for own shares held (if any). Diluted EPS, if any, is determined by adjusting the profit or loss attributable to common shareholders and the weighted average number of common shares outstanding, adjusted for own shares held, for the effects of all dilutive potential common shares.

2.19 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the chief executive officer of the Group, being the chief operating decision-maker, to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial statements are available.

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Executive Officer.

2 MATERIAL ACCOUNTING POLICY INFORMATION (continued)

2.20 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset/liability is measured using the assumptions that market participants would use when pricing those assets, with the assumption that market participants act in their economic best interest.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets for which fair value is disclosed in the annual consolidated financial statements are categorized within the fair value hierarchy. This is described, as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

To measure the fair value of investment properties, the Group engages an independent valuer who holds a recognized and relevant professional qualification and has recent experience in the location and category of the asset being valued.

Management reviews valuer's report and assesses appropriateness of assumptions and valuation techniques and the overall reasonableness of valuation. For the purpose of fair value disclosures, the Group has determined classes of assets based on the nature, characteristics and risks of the asset and the level of the fair value hierarchy, as explained above. Management determined that the investment properties consist of three classes of assets: (i) freehold office and retail properties in KSA, (ii) freehold office and retail properties in Egypt and (iii) right-of-use assets recognized as per the requirements of IFRS 16.

2.21 Current versus non-current classification

The Group presents assets and liabilities in the consolidated statement of financial position based on current/ non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle.
- It is held primarily for the purpose of trading.
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

(All amounts in Saudi Riyals thousands unless otherwise stated)

3 CASH AND CASH EQUIVALENTS

	2025	2024
Cash at banks	**266,149**	27,689
Cash in hand	**4,814**	5,146
	270,963	32,835

4 TRADE RECEIVABLES

	2025	2024
Trade receivables	**205,219**	189,719
Less: allowance for impairment of trade receivables	**(16,176)**	(15,741)
	189,043	173,978

Movement in allowance for impairment of trade receivables is as follows:

	2025	2024
January 1	**15,741**	26,152
Additions	**435**	-
Reversal	**-**	(10,411)
December 31	**16,176**	15,741

5 INVENTORIES

	2025	2024
Smart phones, electronics and accessories	**711,718**	910,217
Computers and related supplies and programs	**527,503**	435,313
Office supplies	**151,710**	136,755
Books	**168,974**	171,702
School supplies	**96,568**	85,659
Video games and smart TVs	**152,534**	196,027
Engineering and technical supplies	**43,725**	35,737
Goods in transit	**75,873**	45,459
Other	**8,810**	7,778
	1,937,415	2,024,647
Less: provision for slow moving inventories	**(228,014)**	(207,989)
	1,709,401	1,816,658

Movement in provision for slow moving inventories is as follows:

	2025	2024
January 1	**207,989**	162,049
Additions	**20,025**	45,940
December 31	**228,014**	207,989

(All amounts in Saudi Riyals thousands unless otherwise stated)

6 PREPAYMENTS AND OTHER CURRENT ASSETS

	2025	*2024*
Advances to suppliers	**110,251**	100,994
Prepaid rentals	**12,292**	7,638
Employees receivable	**41,064**	49,124
Less: Provision for doubtful employee receivables	**(1,960)**	(1,881)
	39,104	47,243
Other prepayments	**20,821**	19,694
Accrued income	**12,344**	13,071
Claims on vendors	**149,780**	128,933
Lease and other receivables	**27,126**	28,792
Less: Provision for doubtful lease receivables	**(17,924)**	(20,814)
	9,202	7,978
	353,794	325,551

7 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

Comprises minor interests in an unquoted equity instruments of two companies: (i) a local company operating in real estate and (ii) a company operating in fintech, incorporated in the Cayman Islands with operations in the Kingdom of Saudi Arabia. See Note 2.1(iii)(b).

8 INVESTMENT PROPERTIES

	Land	***Buildings***	***Construction and other work in progress***	***Total***
Cost				
January 1, 2025	**99,081**	**245,625**	**428**	**345,134**
Additions to owned assets	**-**	**-**	**-**	**-**
Disposals	**(6,809)**	**-**	**(279)**	**(7,088)**
Lease modifications /reassessment /termination *	**-**	**(624)**	**-**	**(624)**
Transfers from (to) property and equipment	**(781)**	**(877)**	**(149)**	**(1,807)**
Exchange difference	**-**	**1,127**	**-**	**1,127**
December 31, 2025	**91,491**	**245,251**	**-**	**336,742**
Accumulated depreciation and impairment				
January 1, 2025	**-**	**(84,372)**	**-**	**(84,372)**
Depreciation of owned assets	**-**	**(5,671)**	**-**	**(5,671)**
Depreciation of right-of-use assets	**-**	**(6,305)**	**-**	**(6,305)**
Transfers to (from) property and equipment	**-**	**410**	**-**	**410**
Exchange difference	**-**	**(213)**	**-**	**(213)**
December 31, 2025	**-**	**(96,151)**	**-**	**(96,151)**
Net book value	**91,491**	**149,100**	**-**	**240,591**

8 INVESTMENT PROPERTIES (continued)

	Land	*Buildings*	*Construction and other work in progress*	*Total*
Cost				
January 1, 2024	99,448	255,334	559	355,341
Additions to owned assets	-	-	393	393
Lease modifications /reassessment/ termination *	-	1,274	-	1,274
Transfers from construction and other work in progress	-	525	(525)	-
Transfers from (to) property and equipment	(367)	(413)	1	(779)
Exchange difference	-	(11,095)	-	(11,095)
December 31, 2024	99,081	245,625	428	345,134
Accumulated depreciation and impairment				
January 1, 2024	-	(74,295)	-	(74,295)
Depreciation of owned assets	-	(5,816)	-	(5,816)
Depreciation of right-of-use assets	-	(6,452)	-	(6,452)
Transfers to (from) property and equipment	-	515	-	515
Exchange difference	-	1,676	-	1,676
December 31, 2024	-	(84,372)	-	(84,372)
Net book value	99,081	161,253	428	260,762

* These are considered non-cash financing and investing activities.

All investment properties are held for rental income and not for capital appreciation.

8.1 Fair value of investment property

For the purpose of fair value disclosure, management determined that the investment properties consist of three classes of assets: (i) freehold office and retail properties in the Kingdom of Saudi Arabia (KSA), (ii) freehold office and retail properties in Egypt and (iii) Right-of-use assets recognized as per the requirements of IFRS 16 as follows:

	(Saudi Riyals in millions)			
	December 31, 2025		*December 31, 2024*	
	Carrying Amount	***Fair Value***	*Carrying Amount*	*Fair Value*
Freehold office and retail properties in KSA	**204.3**	**642.7**	217.9	645.6
Freehold office and retail properties in Egypt	**14.7**	**78.3**	14.3	61.6
Right-of-use assets	**21.6**	**51.9**	28.6	59.5
Total	**240.6**	**772.9**	260.8	766.7

The fair value of investment property presented in the above table is based on valuation by independent valuers who hold recognized and relevant professional qualifications and have recent experience in the location and category of the investment property being valued.

(i) Freehold office and retail properties in KSA

The fair value measurements of the office and retail properties in KSA as at the above dates were all performed by Barcode Company, an accredited valuer by the Saudi Authority for Accredited Valuers (Taqeem), holding membership number 1210000001. Barcode Company is an independent valuer not related to the Group who holds recognized and relevant professional qualifications and has recent experience in the location and category of the investment property being valued.

The fair value measurement in its entirety is classified into level 2 and 3 based on the valuation techniques used in estimating the fair value and related inputs.

8 INVESTMENT PROPERTIES (continued)

8.1 Fair value of investment property (continued)

(i) Freehold office and retail properties in KSA (continued)

For completed properties, the fair value was determined based on capitalization of net income method, where the market rentals of the properties are assessed in light of the rentals of similar properties in the market and operating expenses are estimated based on market averages and valuer's knowledge. The capitalization rate used is adopted by reference to the yield rates normally used for similar properties and location and adjusted based on the valuer's knowledge of the factors specific to the respective properties.

For under-construction properties, the fair value of land was determined based on the market comparable approach that reflects prices for similar properties, while the fair value on construction works was determined based on the cost approach by reference to the actual cost provided by the Group.

In estimating the fair value of the properties, the highest and best use of the properties is their current use.

(ii) Freehold office and retail properties in Egypt

The fair value measurements of the office and retail properties in Egypt are performed by Deyar El Safwa (Eng. Mohamed Abdulrahman Ahmed Youssef), accredited real estate valuer by the Financial Regulatory Authority (in Egypt), Reg. number 93.

The valuer is an independent valuer who is not related to the Group, holds recognized and relevant professional qualifications and has recent experience in the location and category of the investment property being valued.

The fair value was determined based on the market comparable approach.

The fair value measurement in its entirety is classified into level 2. Adjustment to level 2 inputs that are significant to the entire measurement did not use significant unobservable inputs.

(iii) Right-of-use assets:

Right-of-use assets within the investment properties exist in KSA and Qatar.

The fair value measurements of right-of-use assets in KSA were performed by Barcode Company referred to above.

The fair value measurements of right-of-use assets in Qatar were performed by ValuStrat LLC in Qatar. ValuStrat is a Royal Institution of Chartered Surveyors (RICS) regulated firm. ValuStrat is independent valuer not related to the Group and has sufficient and current knowledge of the Qatari market and the skills and understanding to undertake an objective and unbiased valuation competently. It has recent and sufficient experience in the location and category of the investment property being valued.

The fair value measurement of the right-of-use assets in its entirety is classified into level 3 based on the valuation techniques used in estimating the fair value and related inputs. The discounted cash flow method has been used as the valuation approach.

There has been no change to the valuation techniques as of December 31, 2025 compared to December 31, 2024 for all fair value measurements.

(All amounts in Saudi Riyals thousands unless otherwise stated)

8 INVESTMENT PROPERTIES (continued)

8.2 Amounts included in the statement of income related to investment properties

The consolidated statement of income includes, among others, the following amounts related to investment properties:

	Note	***2025***	*2024*
Rental income	23	**45,099**	45,403
Maintenance and repair expenses from property that generated rental income		**1,512**	1,754
Maintenance and repair expenses from property that did not generate rental income		**501**	638

Rental income includes the rental income generated by both freehold and right-of-use investment properties.

The Group has no significant contractual obligations for repairs or maintenance of its investment properties.

9 RIGHT-OF-USE ASSETS

The following table presents information about the right-of-use assets, other than those included in the investment properties:

	2025 ***Buildings***	*2024* *Buildings*
Carrying amount at the beginning of the year	**627,402**	583,038
Additions during the year*	**60,570**	125,450
Lease modifications / reassessment/termination*	**45,790**	31,866
Depreciation charge for the year	**(119,066)**	(112,952)
Balance at the end of the year	**614,696**	627,402

* These are considered non-cash financing and investing activities.

(All amounts in Saudi Riyals thousands unless otherwise stated)

10 PROPERTY AND EQUIPMENT

	Land	Buildings	Machinery and equipment	Furniture and fixtures	Motor vehicles	Computers	Leasehold improve-ments	Construction and other work in progress (CWIP)	Total
Cost									
January 1, 2025	**426,521**	**612,383**	**14,154**	**224,806**	**20,803**	**86,079**	**226,424**	**49,785**	**1,660,955**
Additions	**-**	**-**	**600**	**7,826**	**1,536**	**3,253**	**221**	**70,319**	**83,755**
Disposals	**(25,033)**	**(2,043)**	**(30)**	**(2,449)**	**-**	**(2,716)**	**(1,465)**	**(1,229)**	**(34,965)**
Transfers from CWIP	**-**	**199**	**369**	**8,361**	**-**	**10,329**	**37,775**	**(57,033)**	**-**
Transfers from investment property	**781**	**877**	**-**	**-**	**-**	**-**	**-**	**149**	**1,807**
Exchange difference	**-**	**10**	**-**	**3**	**-**	**1**	**-**	**620**	**634**
December 31, 2025	**402,269**	**611,426**	**15,093**	**238,547**	**22,339**	**96,946**	**262,955**	**62,611**	**1,712,186**
Accumulated depreciation									
January 1, 2025	**-**	**(218,134)**	**(11,655)**	**(153,718)**	**(18,683)**	**(70,893)**	**(192,824)**	**-**	**(665,907)**
Charge for the year	**-**	**(18,755)**	**(1,010)**	**(14,355)**	**(1,261)**	**(6,472)**	**(13,932)**	**-**	**(55,785)**
Disposals	**-**	**957**	**30**	**2,056**	**-**	**2,493**	**1,465**	**-**	**7,001**
Transfers from investment property	**-**	**(410)**	**-**	**-**	**-**	**-**	**-**	**-**	**(410)**
Exchange difference	**-**	**(3)**	**-**	**(1)**	**-**	**(1)**	**-**	**-**	**(5)**
December 31, 2025	**-**	**(236,345)**	**(12,635)**	**(166,018)**	**(19,944)**	**(74,873)**	**(205,291)**	**-**	**(715,106)**
Net book value	**402,269**	**375,081**	**2,458**	**72,529**	**2,395**	**22,073**	**57,664**	**62,611**	**997,080**

As at December 31, 2025, property and equipment and investment property include lands amounting to Saudi Riyals 8.1 million (2024: Saudi Riyals 8.1 million) which are registered under the name of related parties and others and the beneficial ownership has been transferred to the Group.

(All amounts in Saudi Riyals thousands unless otherwise stated)

10 PROPERTY AND EQUIPMENT (continued)

	Land	*Buildings*	*Machinery and equipment*	*Furniture and fixtures*	*Motor vehicles*	*Computers*	*Leasehold improve-ments*	*Construction and other work in progress (CWIP)*	*Total*
Cost									
January 1, 2024	426,154	611,123	13,207	213,821	21,871	78,653	198,935	45,000	1,608,764
Additions	-	-	964	3,126	822	2,129	-	55,503	62,544
Disposals	-	-	(14)	(1,817)	(1,890)	(890)	(289)	-	(4,900)
Transfers from CWIP	-	940	-	9,705	-	6,195	27,782	(44,622)	-
Transfers from investment property	367	413	-	-	-	-	-	(1)	779
Exchange difference	-	(93)	(3)	(29)	-	(8)	(4)	(6,095)	(6,232)
December 31, 2024	426,521	612,383	14,154	224,806	20,803	86,079	226,424	49,785	1,660,955
Accumulated depreciation									
January 1, 2024	-	(197,833)	(10,897)	(142,869)	(18,992)	(66,348)	(177,058)	-	(613,997)
Charge for the year	-	(19,811)	(774)	(12,548)	(1,581)	(5,387)	(15,766)	-	(55,867)
Disposals	-	-	14	1,691	1,890	834	-	-	4,429
Transfers from investment property	-	(515)	-	-	-	-	-	-	(515)
Exchange difference	-	25	2	8	-	8	-	-	43
December 31, 2024	-	(218,134)	(11,655)	(153,718)	(18,683)	(70,893)	(192,824)	-	(665,907)
Net book value	426,521	394,249	2,499	71,088	2,120	15,186	33,600	49,785	995,048

(All amounts in Saudi Riyals thousands unless otherwise stated)

11 BANK BORROWINGS AND TERM LOANS

As at December 31, 2025	*Interest rate*	*Outstanding balance*	*Contractual maturity*
Islamic debit current account (overdraft)		-	
Conventional overdraft		-	
		-	
As at December 31, 2024			
Islamic debit current account (overdraft)	1.6%+SIBOR	36,927	Maturity is January 19, 2025. Account must be brought into a credit balance at a minimum once a year"
Conventional overdraft	1.6%+SIBOR	2,769	
		39,696	

11.1 FINANCE COST

	2025	*2024*
Interest on lease liabilities (Note 31.1)	**47,264**	48,209
Interest on Murabaha / Tawarruq term loans	**4,454**	3,052
Interest on overdraft facility (Islamic debit current account)	**357**	483
Interest on overdraft facility - Conventional	**39**	136
	52,114	51,880

12 ACCOUNTS PAYABLE

	2025	*2024*
Trade payables	**1,162,381**	1,070,129
Advances from customers	**100,159**	92,154
Employees	**4,737**	5,428
Other	**61,476**	36,316
	1,328,753	1,204,027

13 ACCRUED EXPENSES AND OTHER LIABILITIES

	Note	***2025***	*2024*
Accrued bonus and commission		**94,849**	84,932
Accrued salaries, wages and benefits		**35,802**	28,624
Warranty charges provision	13.1	**12,858**	10,220
Other		**150,207**	122,497
		293,716	246,273

(All amounts in Saudi Riyals thousands unless otherwise stated)

13 ACCRUED EXPENSES AND OTHER LIABILITIES (continued)

13.1 WARRANTY PROVISION

A provision is recognized for expected warranty claims on products sold for which Group is liable to cover warranty. It is expected all these costs will be incurred within two years after the reporting date.

Assumptions used to calculate the provision for warranties are based on product sales, date of sale, warranty period, and estimated level of repairs and warranty costs.

The estimate has been made based on historical warranty trend and recommendation of vendors has been considered and may vary as a result of cost changes, manufacturing processes and change in products quality.

Movement in provision for warranty is as follows:

	2025	*2024*
January 1	**10,220**	9,564
Added during the year	**16,823**	12,716
Utilized during the year	**(14,185)**	(12,060)
December 31	**12,858**	10,220

14 DEFERRED INCOME

	Note	***2025***	*2024*
Gain on sale and lease back	14.1	**2,151**	2,542
Rental income	14.2	**10,914**	12,295
		13,065	14,837
Current maturity shown under current liabilities		**(11,305)**	(12,686)
		1,760	2,151

14.1 GAIN ON SALE AND LEASE BACK

The gain on sale and leaseback represents the unamortized gain recognized on a sale and lease-back transaction in 2013 amounted to Saudi Riyals 7 million and which pertains to the then classified finance lease portion of the transaction. This gain is being amortized over the lease term.

14.2 RENTAL INCOME

Rental income represents amounts received from rental activity but not earned as at December 31, 2025 and 2024. Such amounts will be recognized as revenue in the subsequent year.

15 ZAKAT AND INCOME TAX MATTERS

Zakat is calculated at 2.5% of the zakat base in accordance with ZATCA regulations. Zakat base is determined after applying regulatory adjustments and is subject to minimum and maximum limits, such that it is not below the prescribed minimum base nor exceeds the prescribed maximum base. Zakat is calculated based on the consolidated financial statements of Jarir Marketing Company.

(All amounts in Saudi Riyals thousands unless otherwise stated)

15 ZAKAT AND INCOME TAX MATTERS (continued)

15.1 COMPONENT OF ZAKAT BASE

The significant components of the zakat base of the Company under zakat regulations are as follows:

	2025	*2024*
Share capital	**1,200,000**	1,200,000
Statutory reserve	**-**	-
Retained earnings	**673,295**	657,470
Foreign currency translation reserve	**(111,234)**	(112,618)
Equity-equivalent provisions	**55,136**	69,003
Non-current liabilities (other than lease liabilities)	**220,817**	189,673
Lease Liabilities (non-current portion)	**595,770**	602,596
Net Adjusted Income difference from Net Income	**-**	7,751
Financial assets at fair value through profit or loss	**(21,710)**	(21,710)
Investment properties	**(240,591)**	(260,762)
Right-of-use assets	**(614,696)**	(627,402)
Property and equipment	**(997,080)**	(995,048)
Approximate zakat base	**759,707**	708,953

In accordance with the applicable zakat regulations, zakat base, excluding the adjusted net income element, is subject to zakat at 2.5% adjusted by ratio of Gregorian to Hijri year number of days (e.g. 2.5% * 365/354).

15.2 ADJUSTED NET INCOME

	2025	*2024*
Income before zakat and income tax	**1,077,357**	1,004,520
Adjustments:		
Disallowed expenses	**-**	12,252
Zakat and tax paid during the year (applied last year)*	**-**	(35,066)
Zakat and tax charged during the year (applied this year)*	**(28,165)**	-
Adjusted net income for the year	**1,049,192**	981,706

* In implementation of Article 63 of the applicable zakat regulation, practice showed that ZATCA accepts the deduction of zakat and income tax charged, rather than paid, during the year.

In light of the above calculations and in accordance with the applicable zakat regulations, zakat is calculated on the adjusted net income for the year as calculated above.

15.3 PROVISION FOR ZAKAT

The movement in the zakat provision for the year was as follows:

	2025	*2024*
January 1	**69,003**	73,425
Provisions	**27,250**	30,500
Payments	**(41,117)**	(34,922)
December 31	**55,136**	69,003

15 ZAKAT AND INCOME TAX MATTERS (continued)

15.4 STATUS OF ZAKAT ASSESSMENTS

Zakat, Tax and Customs Authority (ZATCA) finalized the assessments for the years to 2015, and there are no outstanding zakat dues on part of the Group. During the year ended December 31, 2023, the Group refunded from ZATCA Saudi Riyals 15.9 million out of the amounts due to the Group totaling Saudi Riyals 16.8 million as a result of the Appeal Committee for Tax Violations and Disputes ("Appeal Committee") ruling issued October 9, 2022 in favor of the Group in most of the matters disputed with ZATCA related to the years 2011 to 2015, including the full deductibility of dividends, in excess of the opening balance of retained earnings, from the adjusted net income. In February 2025, the remaining amount of Saudi Riyals 0.9 million was refunded upon the settlement of 2019 zakat dues as explained in the following paragraphs of this note. The financial impact of the aforementioned Appeal Committee ruling on the consolidated statement of income had already been recognized in the prior years.

Years from 2016 to 2018

In 2020, the Group received zakat assessments from ZATCA for the years 2016 to 2018, claiming zakat differences totaling Saudi Riyals 35.9 million as compared to zakat paid for those years. For certain differences, the Group had a strong position that it was very less likely these differences would result in a probable zakat liability. The Group duly objected to those assessments and paid 10% of the disputed amounts as required by zakat regulation (which requires payment of 10% to 25% of the disputed amounts). ZATCA rejected the objection and the Group escalated the case to the Tax Committee for Resolution of Tax Violations and Disputes (the "Dispute Committee") which rejected most of the objections. The Group escalated its objection to the Appeal Committee in due time. In December 2023, the Group received the Appeal Committee's ruling that upheld most of the Dispute Committee's ruling. Since the ruling was found to involve contradictory statements, the Group filed a reconsideration request claiming the deductibility of dividends, in excess of the opening balance of retained earnings, from the adjusted net income if the adjusted net income was the base for zakat calculation, however, reconsideration request does not halt the implementation of Appeal Committee's ruling. In implementation of Appeal Committee's ruling, ZATCA issued their amendment letters (revised assessments) in April and May 2024, and accordingly the Group paid Saudi Riyal 6.18 million being zakat differences for the years 2016 and 2017 after considering the related prior payments made for those years, while for 2018 there is a zakat difference of Saudi Riyal 1.27 million that is in favor of the Group, after considering the related prior payments made for 2018, and which was refunded in February 2025 upon the settlement of 2019 zakat dues as explained in the following paragraphs of this note. Payment of such zakat differences was charged to zakat provision which included provisions created in prior years for the estimated probable zakat liability resulting from such dispute. Apart from the settlement of zakat differences resulting from the revised assessments referred to above and which was charged to zakat provision, no other adjustment, in this regard, was made to zakat provision in the current period. Late May 2024, Appeal Committee issued its decision with respect to the Group's reconsideration request, in which it accepted the reconsideration request, overturned Appeal Committee's ruling regarding the years 2016 to 2018, and returned the case back to Appeal Committee. Early August 2024, the Group received the related Appeal Committee's ruling which again rejected the Group's request to deduct dividends, in excess of the opening balance of retained earnings, from the adjusted net income as explained above.

Years 2019 and 2020

In 2021, the Group received zakat assessments from ZATCA for the years 2019 and 2020, claiming zakat differences totaling Saudi Riyals 19.8 million as compared to zakat paid for those years. Zakat differences were only due to ZATCA disallowance of deduction (from the adjusted net income) of both (i) the additions on property and equipment and investment properties and (ii) dividends in excess of the opening balance of retained earnings. The Group duly objected to those assessments in due time and paid 25% of the disputed amounts as required by zakat regulation.

ZATCA rejected the objection and the Group escalated the case to the Dispute Committee in due time. On January 18, 2023, the Dispute Committee resolution was officially issued accepting the deductibility of dividends in excess of the opening balance of retained earnings, from the adjusted net income, while rejecting the deductibility of the additions on property and equipment and investment properties from the adjusted net income.

The Group escalated the dispute, on the deductibility of the additions on property and equipment and investment properties from the adjusted net income, to the Appeal Committee in due time, while ZATCA appealed the Dispute Committee's ruling on the deductibility of dividends in excess of the opening

(All amounts in Saudi Riyals thousands unless otherwise stated)

15 ZAKAT AND INCOME TAX MATTERS (continued)

15.4 STATUS OF ZAKAT ASSESSMENTS (continued)

balance of retained earnings, from the adjusted net income. In April 2024, the Appeal Committee notified the Group that the Group's appeal is rejected and that ZATCA appeal was accepted. The Group received the official document of the Appeal Committee's ruling. Zakat differences for 2019 and 2020 resulted from the Appeal Committee's ruling totaled Saudi Riyals 14.8 million after considering the related prior payments made for those years. In February 2025, the Group settled these zakat dues to ZATCA after offsetting zakat differences due to the Group related to years 2011 to 2015 and 2018 as explained above in the respective above paragraphs of this note. Such settlement did not have any impact on the consolidated statement of income, as it was charged to the provision which was created in prior years for this dispute.

Years 2021, 2022

ZATCA completed review of years 2021 and 2022, and sent the review results and related assessments claiming a net zakat differences of Saudi Riyals 3.4 million, which was settled in February 2025. Such settlement did not have any impact on the consolidated statement of income, as it was charged to the provision which was created in prior years for this dispute.

Year 2023

ZATCA completed review of year 2023 and found no assessment differences to claim.

Year 2024

Year 2024 is currently under review by ZATCA, and not yet concluded.

15.5 INCOME TAX

The amount of income tax recognized in the consolidated statement of income typically pertains to subsidiaries (which, in the current year, includes the estimated top-up tax resulting from the implementation of the Pillar 2 global minimum tax rules, as explained in Note 37.

16 END OF SERVICE BENEFITS

The Company's end of service benefits plan is an unfunded plan. Cash generated by operations are quite sufficient to meet end of service benefit obligations as they become due.

16.1 CHANGES IN THE END OF SERVICE BENEFIT LIABILITY

	2025	*2024*
January 1	**185,315**	178,265
Interest cost	**9,385**	8,559
Current service cost	**24,652**	19,482
End of service benefit expense recognized in profit or loss	**34,037**	28,041
Benefits paid	**(7,783)**	(18,973)
Actuarial changes arising from experience adjustments	**(4,069)**	(5,627)
Actuarial changes arising from changes in demographic assumptions	**4,130**	4,702
Actuarial changes arising from changes in financial assumptions	**1,306**	(1,093)
Amount of actuarial loss / (gain) included in other comprehensive income	**1,367**	(2,018)
December 31	**212,936**	185,315

16 END OF SERVICE BENEFITS (continued)

16.1 CHANGES IN THE END OF SERVICE BENEFIT LIABILITY (continued)

End of service benefit expenses are included in the same line items in the consolidated statement of income as the related compensation cost.

Experience adjustments are the effects of differences between the previous actuarial assumptions and what has actually occurred.

16.2 ASSUMPTIONS USED AND RISKS

The principal assumptions used in determining end of service benefit liability are shown below:

	2025	*2024*
Discount rate	**4.75%**	5.00%
Weighted average of the annual increase in compensation used in the calculation of end of service	**6.3%**	6.4%
Weighted average future number of years of service	**2.3**	2.5

The end of service benefit typically exposes the Group to actuarial risks such as interest risk, longevity risk and salary risk as follows:

Interest risk: As explained in Note 2.13, the discount rate used to calculate the present value of the end of service benefits obligation is estimated by reference to yields on the government bonds. A decrease in the bond interest rate will increase the end of service benefit liability.

Longevity risk: The present value of the end of service benefits obligation is calculated by reference to the best estimate of the number of years of employment. An increase in the number of remaining years of employment will increase the end of service benefit liability.

Salary risk: The end of service benefits liability is calculated by reference to the best estimate of future salaries of employees. An increase in the salary of employees will increase the end of service benefit liability.

A quantitative sensitivity analysis for significant assumption on the end of service benefit liability as at December 31, 2025 and 2024 is, as shown below:

	(Saudi Riyals in millions)	
	2025	*2024*
Discount rate:		
0.5 % increase	**(2.3)**	(2.2)
0.5% decrease	**2.4**	2.3

	(Saudi Riyals in millions)	
	2025	*2024*
Weighted average of the annual increase in compensation used in the calculation of end of service:		
2% increase	**9.8**	9.1
2% decrease	**(8.8)**	(8.2)
Weighted average future number of years of service:		
Increase by 1 year	**7.1**	5.8
Decrease by 1 year	**(6.8)**	(5.5)

(All amounts in Saudi Riyals thousands unless otherwise stated)

16 END OF SERVICE BENEFITS (continued)

16.2 ASSUMPTIONS USED AND RISKS (continued)

The sensitivity analyses above have been determined based on a method that extrapolates the impact on the end of service benefit liability as a result of reasonable changes in key assumptions occurring at the end of the reporting period. The sensitivity analyses are based on a change in a significant assumption, keeping all other assumptions constant. The sensitivity analysis may not be representative of an actual change in the end of service benefit liability as it is unlikely that changes in assumptions would occur in isolation of one another.

In presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the end of service benefit liability recognized in the consolidated statement of financial position.

The methods and assumptions used in preparing the sensitivity analyses for the 2025 and 2024 presented above are consistent.

17 RELATED PARTY MATTERS

17.1 RELATED PARTIES' TRANSACTIONS

Significant transactions with related parties in the ordinary course of business included in the consolidated financial statements are summarized below:

		2025	*2024*
Board of Directors	Salaries, wages and benefits (charged to profit or loss)	**29,319**	27,696
	Salaries, wages and benefits (in other comprehensive income)	**(984)**	(12)
	Payment of end of service	**-**	9,600
	Disposal of property	**1,650**	-
Parties related to the Board of Directors	Construction and engineering services – cost	**39,481**	39,416
	Rent income	**794**	794
	Rent expense	**9,011**	8,883
	Consulting services – income	**792**	779

17.2 RELATED PARTIES BALANCE

Significant year-end balance arising from transactions with related parties are as follows:

	2025	*2024*
Receivable from related parties		
Parties related to the Board of Directors	**96**	3,568
Payable to related parties		
Parties related to the Board of Directors	**37**	-

17 RELATED PARTY MATTERS (continued)

17.3 KEY MANAGEMENT PERSONNEL

Key management personnel, including all members of the board of directors, compensation comprised the following:

	2025	*2024*
Short-term employee benefits	**39,349**	35,463
Post-employment benefits (end of service benefits charged to profit or loss)	**2,863**	3,232
Post-employment benefits (end of service benefits in other comprehensive income)	**(42)**	(598)
Other long-term benefits (long-term incentive plan)	**191**	423
Payment of post-employment benefits (end of service)	**-**	9,600

Short-term employee benefits of the Group's key management personnel include salaries, allowances, cash and non-cash benefits, bonuses, and contributions to General Organization for Social Insurance.

18 SHARE CAPITAL

The Company's share capital amounts to Saudi Riyals 1,200 million as of 31 December 2025 (2024: Saudi Riyals 1,200 million).

19 REVENUE

Set out below is the disaggregation of the Group's revenue:

The following table sets out the Group's revenue disaggregated by products and services category by reportable segment:

	(Saudi Riyals in millions)				
2025	***Retail outlets***	***Wholesale***	***E-Commerce***	***All other segments***	***Total***
Smartphones, electronics and accessories	**4,342**	**-**	**2,694**	**6**	**7,042**
Other IT and digital products and services	**2,301**	**-**	**922**	**27**	**3,250**
Books and office, school and arts supplies	**676**	**256**	**49**	**92**	**1,073**
	7,319	**256**	**3,665**	**125**	**11,365**

	(Saudi Riyals in millions)				
2024	*Retail outlets*	*Wholesale*	*E-Commerce*	*All other segments*	*Total*
Smartphones, electronics and accessories	4,593	-	1,673	4	6,270
Other IT and digital products and services	2,451	-	774	20	3,245
Books and office, school and arts supplies	722	264	42	76	1,104
	7,766	264	2,489	100	10,619

19 REVENUE (continued)

The following table sets out the Group's revenue disaggregated by products and services category by geographical market:

	(Saudi Riyals in millions)		
2025	***Kingdom of Saudi Arabia***	***Other Gulf Countries and Egypt***	***Total***
Smartphones, electronics and accessories	**6,372**	**670**	**7,042**
Other IT and digital products and services	**2,979**	**271**	**3,250**
Books and office, school and arts supplies	**940**	**133**	**1,073**
	10,291	**1,074**	**11,365**
2024			
Smartphones, electronics and accessories	5,852	418	6,270
Other IT and digital products and services	3,025	220	3,245
Books and office, school and arts supplies	962	142	1,104
	9,839	780	10,619

All the above revenues are recognized at a point in time, with a minor exception where immaterial service revenues are recognized over time (typically over two to three months).

20 COST OF REVENUE

	2025	*2024*
Purchases of goods	**9,096,722**	8,764,308
Changes in inventories	**107,258**	(168,743)
Cost of goods sold	**9,203,980**	8,595,565
Salaries, wages and benefits	**401,473**	389,305
Depreciation	**168,154**	162,669
Rental	**6,475**	4,725
Other	**168,834**	142,540
	9,948,916	9,294,804

21 GENERAL AND ADMINISTRATIVE EXPENSES

	2025	*2024*
Salaries, wages and benefits	**115,245**	108,799
Depreciation	**6,278**	5,730
Other employees related expenses	**5,347**	4,948
Professional services	**3,940**	4,526
Maintenance	**3,338**	3,007
Other	**19,812**	17,339
	153,960	144,349

(All amounts in Saudi Riyals thousands unless otherwise stated)

22 SELLING AND MARKETING EXPENSES

	2025	*2024*
Advertising	**78,209**	105,738
Payment processing charges	**61,163**	31,612
Salaries, wages and benefits	**56,125**	52,315
Freight to customers	**504**	(781)
(Reversal) provision for doubtful debts	**410**	(10,581)
Depreciation	**(506)**	407
Other	**26,083**	24,231
	221,988	202,941

23 OTHER INCOME, NET

This mainly includes (i) rental revenue from operating leases on investment properties as well as subleases within leased properties where the Group is lessee netted-off with related expenses and other expenses, and (ii) administrative fees earned from financing companies which provide purchases finance service to the customers of the Group. Such administrative fees do not involve interest or consideration for any financing component which is fully provided by the financing companies.

24 FINANCE INCOME

Finance income comprises the income on short term deposits in form of Murabaha Investment account opened with a local bank.

25 EXCHANGE DIFFERENCES ON TRANSLATION OF FOREIGN OPERATIONS

Exchange difference gains (losses) on translation of foreign operations, included in the consolidated statement of comprehensive income for the current year ended December 31, 2025, amounted to Saudi Riyals 1.4 million (2024: Saudi Riyals (6.7) million), is mainly attributed to the exchange differences loss arising from the Company's net investment in its subsidiary in Egypt, of which the functional currency is the Egyptian Pound, affected by the Egyptian Pound currency devaluation, which started in March 2022 by the Egyptian authorities. The Egyptian Pound exchange rate against foreign currencies possibly will further experience unfavorable changes in future. Such exchange difference loss does not affect the statement of income but it is recognized in the comprehensive income with a corresponding recognition in the foreign exchange reserve.

26 EARNINGS PER SHARE

Earnings per share has been calculated by dividing net income for the years ended December 31, 2025 and 2024 by 1,200 million shares.

27 DIVIDENDS

Based on the pre-approval of the General Assembly, the Board of Directors in their meetings held on March 23, May 11, August 5, and November 5, 2025 resolved to distribute interim cash dividends amounting to Saudi Riyals 276 million, Saudi Riyals 228 million, Saudi Riyals 192 million, and Saudi Riyals 336 million respectively, which were paid to the shareholders during the year ended December 31, 2025 (Saudi Riyals 0.86 per share).

Based on the pre-approval of the General Assembly, the Board of Directors in their meetings held on March 7, May 13, August 8, and November 7, 2024 resolved to distribute interim cash dividends amounting to Saudi Riyals 276 million, Saudi Riyals 228 million, Saudi Riyals 180 million and Saudi Riyals 312 million respectively, which were paid to the shareholders during the year ended December 31, 2024 (Saudi Riyals 0.83 per share).

28 SEGMENT INFORMATION

(a) Operating segments

The Group is organized into business units based on factors including distribution method, targeted customers, products and geographic location.

The Group has three major operating segments namely, retail outlets, wholesale and E-commerce. The Group's chief executive officer reviews the internal management reports of each segment at least quarterly for the purpose of resources allocation and assessment of performance.

All other operating segments that are not reportable are combined under “All other segments”. The sources of income of those segments mainly include corporate sales and rentals.

The following summary describes the operations of each reportable segment.

Reportable segment	***Operation***
Retail outlets	Sale of office supplies, school supplies, books, computers & peripherals, computer supplies, smartphones and accessories, electronics, art & craft supplies, video games, smart TV’s, kids’ development products and provides after-sale services. All the retail outlets operate under the “Jarir bookstore” brand.
Wholesale	Sale of office supplies, school supplies, computer supplies, and art & craft supplies to other resellers.
E-commerce	Online sales through “Jarir.com” website and “Jarir Bookstore app” of the same products and services offered in the retail outlets.

The segmental information for the year ended December 31, was as follows:

	(Saudi Riyals in millions)				
	Retail outlets	***Wholesale***	***E-Commerce***	***All other segments***	***Consolidated***
2025					
Revenue	**7,319**	**256**	**3,665**	**125**	**11,365**
Income before zakat and income tax	**687**	**45**	**230**	**115**	**1,077**
Depreciation	**(172.9)**	**(1.7)**	**(0.1)**	**(12.1)**	**(186.8)**
Finance cost	**(49.9)**	**(0.1)**	**-**	**(2.1)**	**(52.1)**
Finance income	**-**	**-**	**-**	**4.5**	**4.5**
2024					
Revenue	7,766	264	2,489	100	10,619
Income before zakat and income tax	730	46	127	102	1,005
Depreciation	(166.8)	(1.9)	(0.1)	(12.3)	(181.1)
Finance cost	(48.8)	(0.1)	-	(3.0)	(51.9)
Finance income	-	-	-	3.6	3.6

Sales reported above are all generated from external customers and there were no inter-segment sales.

Management uses segment income before tax to measure performance being the most relevant in evaluating the results of segments.

The accounting policies of the reportable segments are the same as the Group’s accounting policies described in Note 2.20 above.

28 SEGMENT INFORMATION (continued)

(b) Geographical information

The Group operates in two geographical segments namely, Saudi Arabia and other Gulf countries and Egypt. The Group sales to external customers and information about non-current assets by location for the year ended and as of December 31, are detailed below.

	(Saudi Riyals in millions)		
	Kingdom of Saudi Arabia	***Other Gulf Countries and Egypt***	***Consolidated***
2025			
Sales to external customers	**10,291**	**1,074**	**11,365**
Non-current assets	**1,695**	**198**	**1,893**
2024			
Sales to external customers	9,839	780	10,619
Non-current assets	1,692	232	1,924

Geographic information on sales is based on the geographic location of the customers and the geographic information on non-current assets is based on the geographic location of those assets. The Group maintains separate accounts for each country.

Refer to Note 19 for an analysis of the Group's sales from its major products and services categories to external customers.

29 SEASONALITY OF OPERATIONS

The Group's sales are positively affected by the back to school seasons, particularly sales of school and office supplies.

30 COMMITMENTS AND CONTINGENCIES

30.1 CONTINGENCIES

Contingencies are as follows:

	(Saudi Riyals in millions)	
	2025	*2024*
Letters of credit	**211.5**	314.1
Letters of guarantee	**30.3**	10.9

30.2 CAPITAL COMMITMENTS

At December 31, 2025, the Group had capital commitments of Saudi Riyals 35.6 million (December 31, 2024: Saudi Riyals 44.3 million). This balance includes capital commitment of Saudi Riyals 21.1 million with a party related to the Board of Directors (December 31, 2024: Saudi Riyals 32.2 million). These commitments are principally relating to the construction of the buildings and leasehold improvements which will comprise spaces for Group's own use including its retail outlets, and spaces to earn rentals.

31 LEASES

31.1 LEASES WHERE THE GROUP IS AS LESSEE

The Group leases showrooms, storage spaces, and employee housing. The Group also leases retail spaces, for a subsequent sublease, that are attached to showrooms it leases as part of the showroom lease deal, but not on a standalone basis. The leases typically run for periods between 5 and 25 years and on a fixed rent basis with escalation clauses. Refer to Note 8 and 9 for information about right of use assets arising from leases for which the Group is a lessee.

(All amounts in Saudi Riyals thousands unless otherwise stated)

31 LEASES (continued)

31.1 LEASES WHERE THE GROUP IS AS LESSEE (continued)

(i) The following table presents sets out the amounts recognized in the statement of income relating to leases for the year ended December 31 where the Group is a lessee:

	2025	*2024*
Interest on lease liabilities included in finance cost	**(47,264)**	(48,209)
Lease expenses of short-term leases	**(3,192)**	(3,006)
Lease expenses relating to variable lease payments not included in the lease liabilities	**(3,335)**	(1,746)
Rental income from subleases of right of use investment properties	**14,771**	15,046
Depreciation expense of all right of use assets	**(125,372)**	(119,404)

(ii) The following table set outs the carrying amounts of lease liabilities and the movements during the year including changes arising from financing activities:

	2025	*2024*
January 1	**752,060**	708,932
Additions	**56,384**	117,150
Interest on lease liabilities	**47,258**	48,209
Payments for the principal portion (financing activities cash flows)	**(109,435)**	(107,388)
Payments of interest portion (operating activities cash flows)	**(45,294)**	(46,420)
Modification, termination, remeasurement, and rent concession	**43,267**	31,577
December 31	**744,240**	752,060

Classified in the consolidated statement of financial position as at December 31, as follow:

	2025	*2024*
Current portion of lease liabilities	**148,470**	149,464
Non-current portion of lease liabilities	**595,770**	602,596
	744,240	752,060

(iii) The total cash outflows for leases amount to Saudi Riyals 160.7 million during the year ended December 31, 2025 (2024: Saudi Riyals 158.7 million).

(iv) The Group is committed to lease contracts that have not yet commenced as at December 31. The future lease payments for the non-cancellable period on these lease contracts are as follows:

	2025	*2024*
Within one year	**13,418**	6,214
After one year but not more than five years	**91,546**	40,429
More than five years	**17,381**	8,310

31.2 LEASES AS LESSOR

The Group leases out its investment properties which consist of its owned as well as leased properties. These leases are classified as operating leases except for certain sub-leases which are classified as finance sub-leases.

31 LEASES (continued)

31.2 LEASES AS LESSOR (continued)

Operating lease

The future maturity analysis of the undiscounted lease payments to be received:

	(Saudi Riyals in millions)	
	2025	*2024*
Not later than 1 year	**36.5**	36.6
Later than 1 year and not later than 5 years	**40.5**	39.4
Later than 5 years	**0.9**	1.2
	77.9	77.2

Operating lease payments to be received relate to the investment properties owned by the Group, as well as subleases within leased properties where the Group is lessee, with lease terms between 1 to 11 years. Dependent on the lease terms, some lease contracts contain escalation clauses. Lessees do not have options to buy the leased properties.

The total future sublease payments to be received related to leased properties, where the Group is lessee under the head lease, amounts to Saudi Riyals 20.8 million (Saudi Riyals 26.8 million in 2024).

32 FINANCIAL INSTRUMENTS

Financial assets at fair value through profit or loss represent investments in unquoted equity securities. All other financial assets and liabilities of the Group are classified and measured at amortized cost, and the carrying amounts of all such financial instruments are a reasonable approximation of fair value.

33 CATEGORIES OF FINANCIAL INSTRUMENTS

Financial assets

	Line item in the consolidated statement of financial position	***December 31, 2025***	*December 31, 2024*
(i) Amortized cost			
Cash at banks and in hand	Cash and cash equivalent	**270,963**	32,835
Trade receivables (net)	Trade receivables	**189,043**	173,978
Employees receivables (net)	Prepayments and other assets	**39,104**	47,243
Lease receivables (net)	Prepayments and other assets	**1,603**	4,589
Accrued income	Prepayments and other assets	**12,344**	13,071
Other receivables (net)	Prepayments and other assets	**7,599**	3,389
(ii)Fair value through profit or loss			
Financial assets measured at fair value through profit or loss	Financial assets at FVTPL	**40,460**	40,460

Financial liabilities	***Line item in the consolidated statement of financial position***	***December 31, 2025***	*December 31, 2024*
(i) Amortized cost			
Trade payables	Accounts payable	**1,162,381**	1,070,129
Other payables	Accounts payable	**61,476**	36,316
Overdraft facilities	Bank borrowings and term loans	**-**	39,696
Lease liabilities	Lease liabilities- current liabilities	**148,470**	149,464
	Lease liabilities- non-current liabilities	**595,770**	602,596
Other accrued liabilities	Accrued expenses and other liabilities	**150,207**	122,497

34 FINANCIAL INSTRUMENTS – RISK MANAGEMENT

The principal financial risks faced by the Group relate to credit risk, foreign currency risk, interest rate risk and liquidity risk.

The Group is exposed to risks that arise from its use of financial instruments. This note describes the Group's objectives, policies and processes for managing those risks and the methods used to measure them. Further quantitative information in respect of these risks is presented throughout these financial statements.

There have been no significant changes in the Group's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods.

The Board has overall responsibility for setting the Group's risk management objectives and policies and the Group's finance function assist the Board in discharging its responsibility by designing and operating processes that ensure the effective implementation of the objectives and policies.

The overall objective of the Board is to set policies that seek to reduce risk to the minimum.

34.1 CREDIT RISK

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations.

The Group is mainly exposed to credit risk from trade and other receivables, and the Group’s holdings of cash and cash equivalents.

The Group considers its maximum credit risk equivalent to the carrying amount of the Group’s total financial assets.

Most of the Group’s customers have been transacting with the Group for long time and no or very small impairment loss has been recognized against these customers.

It is Group policy to assess the credit risk of new customers before entering contracts. Credit limits are established for each customer, which represents the maximum open amount without requiring approval from the management.

Management determines concentrations of credit risk through a monthly review of the trade receivables' ageing analysis, and follow-up action is taken to recover overdue debts.

Trade receivables consist of a large number of unrelated customers and there are no significant concentrations of credit risk through exposure to individual customers.

Credit terms typically range from 30-90 days for trade receivables, with a few exceptions.

Credit risk also arises from cash with banks. For banks, only those with sound credit ratings are accepted.

The Group establishes an allowance for impairment that represents its estimate of credit loss in respect of trade and other receivables.

(All amounts in Saudi Riyals thousands unless otherwise stated)

34 FINANCIAL INSTRUMENTS – RISK MANAGEMENT (continued)

34.1 CREDIT RISK (continued)

The following table details the risk profile of trade receivables based on the Group's provision matrix for each segment; wholesale, corporate sales and lease receivables:

A) Trade receivables:

(i) Corporate sales trade receivables

	Corporate sales trade receivables – age in days						
	Total	***0-90***	***91-180***	***181-360***	***361-720***	***Over 720***	***Credit impaired***
As at December 31, 2025	**153,756**	**106,938**	**35,763**	**3,577**	**1,987**	**1,507**	**3,984**
Estimated credit loss rate		**2%**	**5%**	**25%**	**50%**	**90%**	**100%**
Estimated credit loss	**11,154**	**2,139**	**1,788**	**894**	**993**	**1,356**	**3,984**
As at December 31, 2024	138,358	122,607	5,435	3,315	2,197	820	3,984
Estimated credit loss rate		2%	5%	25%	50%	90%	100%
Estimated credit loss	9,373	2,452	272	829	1,098	738	3,984

Both (i) the increase in the gross corporate sales trade receivables and (ii) the increase in certain ages of receivables, contributed to the increase in the estimated credit loss.

(ii) Wholesale trade receivables

	Wholesale trade receivables – age in days						
	Total	***0-90***	***91-180***	***181-360***	***361-720***	***Over 720***	***Credit impaired***
As at December 31, 2025	**49,842**	**36,212**	**10,097**	**1,008**	**368**	**324**	**1,833**
Estimated credit loss rate		**4%**	**8%**	**30%**	**85%**	**98%**	**100%**
Estimated credit loss	**5,022**	**1,448**	**808**	**302**	**313**	**318**	**1,833**
As at December 31, 2024	46,213	35,286	5,943	697	52	325	3,910
Estimated credit loss rate		4%	8%	30%	85%	98%	100%
Estimated credit loss	6,368	1,411	476	209	44	318	3,910

Despite the incraese in the gross wholesale trade receivables, the decrease in the credit impaired receivables contributed to the decrease of the impairment loss allowance.

(iii) Other trade receivables (Neither past due nor impaired)

As at December 31, 2025	**1,622**
As at December 31, 2024	5,148

Total trade receivales (Gross)

As at December 31, 2025	**205,219**
As at December 31, 2024	189,719

(All amounts in Saudi Riyals thousands unless otherwise stated)

34 FINANCIAL INSTRUMENTS – RISK MANAGEMENT (continued)

34.1CREDIT RISK (continued)

B) Lease receivables:

		Lease receivables – age in days					
	Total	*0-90*	*91-180*	*181-360*	*361-720*	*Over 720*	*Credit Impaired*
As at December 31, 2025	**19,527**	**1,585**	**64**	**56**	**-**	**10**	**17,812**
Estimated credit loss rate		**5%**	**10%**	**30%**	**70%**	**98%**	**100%**
Estimated credit loss	**17,924**	**79**	**6**	**17**	**-**	**10**	**17,812**
As at December 31, 2024	25,403	3,706	275	1,108	142	176	19,996
Estimated credit loss rate		5%	10%	30%	70%	98%	100%
Estimated credit loss	20,814	185	28	332	100	173	19,996

The decrease in both the gross lease receivables and the credit impaired receivables contributed to the decrease in the estimated credit loss.

C) Life time expected credit loss recognized

The following table shows the movement in lifetime expected credit loss that has been recognized for receivables in accordance with the simplified approach set out in IFRS 9.

	Trade receivables	*Lease receivables*
January 1, 2025	**15,741**	**20,814**
Amounts added	**435**	**-**
Receivables written off being uncollectible	**-**	**(531)**
Net amounts reversed	**-**	**(2,359)**
December 31, 2025	**16,176**	**17,924**
January 1, 2024	26,152	29,201
Net amounts reversed	(10,411)	(8,387)
December 31, 2024	15,741	20,814

D) Credit quality and exposure

The tables below detail the credit quality of the Group's financial assets and the Group's maximum exposure to credit risk by credit risk rating grades:

	Internal credit rating	*12 months or lifetime ECL*	*Gross carrying amount*	*Loss allowance*	*Net carrying amount*
December 31, 2025					
Trade receivables	Provision matrix	Lifetime ECL	**205,219**	**16,176**	**189,043**
Employees receivables	Mostly performing	12 months ECL	**41,064**	**1,960**	**39,104**
Lease receivables	Provision matrix	Lifetime ECL	**19,527**	**17,924**	**1,603**
Accrued income	Performing	12 months ECL	**12,344**	**-**	**12,344**
Other receivables	Performing	12 months ECL	**7,599**	**-**	**7,599**

34 FINANCIAL INSTRUMENTS – RISK MANAGEMENT (continued)

34.1 CREDIT RISK (continued)

Credit quality and exposure (continued)

	Internal credit rating	*12 months or lifetime ECL*	*Gross Carrying amount*	*Loss Allowance*	*Net carrying amount*
December 31, 2024					
Trade receivables	Provision matrix	Lifetime ECL	189,719	15,741	173,978
Employees receivables	Mostly performing	12 months ECL	49,124	1,881	47,243
Lease receivables	Provision matrix	Lifetime ECL	25,403	20,814	4,589
Accrued income	Performing	12 months ECL	13,071	-	13,071
Other receivables	Performing	12 months ECL	3,389	-	3,389

34.2 FOREIGN CURRENCY RISK

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates.

The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities when *(i) revenue or expense is denominated in a foreign currency, (ii) recognized assets and liabilities denominated in foreign currencies and (iii) the Group's net investments in foreign subsidiaries*.

The Group exposure to foreign currency risk principally involves the following currencies:

United State Dollars (USD), Qatari Riyal (QAR), United Arab Emirates Dirham (AED), Kuwaiti Dinar (KWD), Egyptian Pounds (EGP), Euro (EUR), Pound Sterling (GBP), and Japanese Yen (JPY). The USD represents the major foreign currency and payments to most of foreign vendors are made in USD. Management believes that the Group's major exposure to currency risk is alleviated by the fact that Saudi Riyal, the Company's functional currency and the Group's presentation currency, QAR and AED are all pegged to USD, which represent most of the currency exposure.

Fluctuation in exchange rates of the other currencies is closely monitored by management.

The exposure to the risk of changes in EGP mainly relates to Group's subsidiary in Egypt. Depreciation of the EGP and the resulting diminution of the net investment in Group's subsidiary in Egypt is mitigated by the appreciation of real estate assets which represent the vast majority of the subsidiary's net asset. Such appreciation is not recognized in the consolidated financial statements due to the adoption of cost model in accounting for investment properties. Refer to Note 8.1.

The carrying amounts of the Group's USD denominated monetary assets and monetary liabilities at the end of the reporting period are summarized as follows:

	(Saudi Riyals in millions)	
	December 31, 2025	*December 31, 2024*
Trade payables	**(94.1)**	(94.1)
Cash at banks	**1.7**	1.7
Net position	**(92.4)**	(92.4)

34 FINANCIAL INSTRUMENTS – RISK MANAGEMENT (continued)

34.2 FOREIGN CURRENCY RISK (continued)

Foreign currency sensitivity

While it unforeseeable that the USD exchange rate will change against the Saudi Riyal, being pegged to the USD, the following tables demonstrate the sensitivity to the change in USD exchange rate, with all other variables held constant.

The impact on the Group's profit (before zakat and income tax) is due to changes in the value of monetary assets and liabilities. Apart from the impact on the Group's profit (before zakat and income tax), there will be no impact on the Group's equity. A positive number below indicates an increase in profit.

	(Saudi Riyals in millions)	
	Effect on profit before zakat and income tax	
	2025	*2024*
Change in USD rate		
5 % increase	**(5.1)**	(4.6)
5% decrease	**5.1**	4.6

34.3 INTEREST RATE RISK

The Group is exposed to cash flow interest rate risk from bank borrowings at variable rate. Where the Group wishes to obtain loans, the Group usually uses short-term Shariaa compliant loans that are repayable in less than a year. The use of long term was limited only to financing large capital expenditures, which has been infrequent historically. The Group's bank loans typically bear variable interest at a spread above SIBOR.

Overdraft is usually used for immediate and temporary cash needs, and it bears variable interest at a spread above SIBOR.

In the past few years, the Group has not been exposed to significant interest rate risk due to the low level of borrowings. In managing its capital, the Group might increase its borrowing within the Group's limit of the ratio of net debt to shareholders equity as explained in Note 35.

Where the Group plans to increase interest-bearing bank borrowings (other than those with short term contractual maturities) above 15% of equity, it is the Group's policy to keep borrowings at fixed rates of interest between 30% and 50% of its total interest-bearing bank borrowings.

During 2025 and 2024, the Group's interest-bearing bank borrowings at variable rate were denominated only in Saudi Riyals.

For the outstanding banks borrowings the Group had at December 31, refer to Note 11.

The sensitivity analysis in the following table has been determined based on the exposure to interest rate for the interest-bearing bank borrowings at the end of the reporting period. The analysis is prepared assuming the amount of the bank borrowings outstanding at the end of the reporting period was outstanding for the whole year, and a 100 basis point increase or decrease in the interest rate is used as a reasonably possible change in interest rates. With all other variables held constant, the Group's profit before Zakat and income tax would be affected as follows:

	(Saudi Riyals in millions)	
	Effect on profit before zakat and income tax	
	2025	*2024*
Change in interest rate		
100 basis points increase	**-**	(0.4)
100 basis points decrease	**-**	0.4

34 FINANCIAL INSTRUMENTS – RISK MANAGEMENT (continued)

34.4 LIQUIDITY RISK

Liquidity risk is the risk that the Group will encounter difficulty in meeting its financial obligations as they fall due. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdraft and bank loans to ensure that it will always have sufficient cash to allow it to meet its liabilities when they become due.

The operational cash flow of the Group is normally predictable. The Group maintains a short cash conversion cycle reflecting the nature of the business, receivables management and the credit terms extended by the vendors. Cash flow forecasts are regularly produced to assist management in identifying future liquidity requirements.

(i) Contractual maturities of financial liabilities

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual payments (undiscounted cash flows):

	Less than 6 months	***6-12 months***	***1-5 years***	***More than 5 years***	***Total***
December 31, 2025					
Trade payables	**1,162,381**	**-**	**-**	**-**	**1,162,381**
Other payables	**61,476**	**-**	**-**	**-**	**61,476**
Other accrued liabilities	**150,207**	**-**	**-**	**-**	**150,207**
Bank borrowings	**-**	**-**	**-**	**-**	**-**
Lease liabilities	**90,366**	**62,349**	**404,455**	**470,139**	**1,027,309**
Total	**1,464,430**	**62,349**	**404,455**	**470,139**	**2,401,373**

	Less than 6 months	*6-12 months*	*1-5 years*	*More than 5 years*	*Total*
December 31, 2024					
Trade payables	1,070,129	-	-	-	1,070,129
Other payables	36,316	-	-	-	36,316
Other accrued liabilities	122,497	-	-	-	122,497
Bank borrowings	39,696	-	-	-	39,696
Lease liabilities	91,933	66,139	423,836	487,662	1,069,570
Total	1,360,571	66,139	423,836	487,662	2,338,208

Lease liabilities included in the consolidated statement of financial position are carried at the present value of the lease payments that are not paid at that date. Refer to Note 31.

(ii) Financing arrangements

The Group had access to the following unutilized funding facilities at the end of the reporting period:

	(Saudi Riyals in millions)	
	2025	*2024*
Short and medium-term loans	**750**	770
Overdrafts	**350**	465
Total	**1,100**	1,235

(All amounts in Saudi Riyals thousands unless otherwise stated)

35 CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maximize the returns to the shareholders. It is the Group's policy is to maintain a strong capital base to maintain investors and creditors and to sustain future development of the business.

For the purpose of the Group's capital management, capital includes issued and paid up capital and all other equity reserves attributable to the shareholders of the Company.

Management monitors the return on capital and the level of dividends the shareholders and seeks to maintain a balance between the higher returns (which could be enhanced by higher levels of borrowing) and the benefit and security provided by a sound capital position.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and its financial needs. To maintain or adjust the capital structure, the Group may issue new shares or adjust the dividend payment to shareholders, while maintaining dividend payout at no less than 80%.

The Group monitors capital using a ratio of net debt to shareholders equity. Net debt includes bank borrowings and term loans less cash and cash equivalents. The Group's policy is to keep this ratio below 50%.

At year end, the Group's net debt was as follows:

	December 31, 2025	*December 31, 2024*
Total borrowings and term loans	**-**	39,696
Less: cash and cash equivalents	**(270,963)**	(32,835)
Net debt	**(270,963)**	6,861
Ratio of net debt to shareholders' equity	**(15.4%)**	0.4%

36 POSSIBLE APPLICATION OF IAS 29 IN FUTURE FOR EGYPT SUBSIDIARY

IAS 29 applies when the functional currency of an entity is of a hyperinflationary economy. The standard requires the financial statements of such entity to be restated for the changes in the general pricing power of the functional currency by applying a general price index. The standard does not establish an absolute inflation rate at which an economy is considered hyperinflationary, but it considers a variety of non-exhaustive characteristics of the economic environment of a country that are seen as indicators of the existence of hyperinflation. One of these characteristics, which is a quantitative indicator, is that when the cumulative inflation rate over three years is approaching, or exceeds, 100%. In accordance with the World Economic Outlook released by International Monetary Fund in October 2025, the projected three-year cumulative inflation was reported at 99% by end of 2025 and 63% by end of 2026. The other indicators in the standard, all of a qualitative nature, are deemed inconclusive. Accordingly, it is our view that Egypt was not considered hyperinflationary as at December 31, 2025, which is supported by a number of reliable technical publications.

The Egyptian currency is the functional currency of our subsidiary in Egypt, and while the projections indicate that Egypt is not expected to become hyperinflationary in the foreseeable future, we shall continue closely monitor the economic and inflation developments. In case the economic situation deteriorates in future, the Egyptian currency would possibly be considered a currency of a hyperinflationary economy. In such case IAS 29 would apply and certain financial statements elements related to the Egyptian subsidiary included in the Group's consolidated financial statements would be restated (along with the related comparative figures) as required by the standard.

37 OECD GLOBAL ANTI-BASE EROSION - PILLAR 2

In October 2021, more than 135 countries and jurisdictions, including the Kingdom of Saudi Arabia, joined a two-pillar solution to reform the international taxation rules developed by the Organisation for Economic Co-operation and Development (OECD), in response to the challenges of digitalization of the economy, and ensure that multinational enterprises pay a fair share of tax wherever they operate and generate profits.

37 OECD GLOBAL ANTI-BASE EROSION - PILLAR 2 (continued)

Pillar 2 rules, a part of the two-pillar solution, provide for a global minimum tax of 15% applicable to multinational enterprise groups (with a global turnover of EUR 750 million or more) on income generated in each jurisdiction in which a multinational entity operates.
In implementation of Pillar 2, each country shall enact the rules into its local legislation. Several countries have enacted Pillar 2 related laws, and some of which became effective beginning of 2024, and others enter into force from 2025.

As of the date of issuance of these financial statements, the Kingdom of Saudi Arabia has not officially announced plans to implement the Pillar 2, but all the other countries where the Group operates have announced the introduction of Pillar 2, except of Egypt which has not yet an official announcement, as follows:

UAE: Late 2024, UAE introduced a Domestic Minimum Top-up Tax (DMTT) of 15%, applicable to large multinational groups operating in the UAE with annual global revenues of EUR 750 million or more in the consolidated financial statements of the ultimate parent entity from the beginning of 2025. Certain reliefs and exclusions apply.

Qatar: Late 2024, Shura Council approved amendments to Qatar Income Tax Law introducing a 15% global minimum corporate tax rate, that is applicable to multinational companies that generate annual revenues exceeding QAR 3 billion, which include international companies with branches in Qatar. The amendments to the law is designed to enable multinational companies to file their tax returns for the Domestic Minimum Top-up Tax (QDMTT) in Qatar, ensuring compliance with the standards set by the OECD.

Kuwait: Late 2024, Kuwait published Decree-Law No. 157 of 2024, which introduced a Domestic Minimum Top-up Tax (DMTT) imposing a minimum of 15% tax on multinational enterprises with revenues exceeding EUR 750 million in line with the OECD Pillar 2 rules, including multinational enterprises headquartered in and outside Kuwait. The law encompasses all activities conducted by these entities within Kuwait and shall be effective for fiscal years starting on or after 1 January 2025.

Bahrain: In September 2024, Bahrain released Decree-Law No. 11 of 2024 introducing a Domestic Minimum Top-Up Tax (DMTT) to ensure that constituent entities (including companies, branches and permanent establishments) of multinational enterprises situated in Bahrain pay a global minimum tax of 15% on their profits. Late 2024, the National Bureau for Revenue (NBR) has published the Implementing Regulations for Decree-Law No. 11 of 2024 prescribing detailed rules, conditions and procedures for the implementation and enforcement of the Bahrain DMTT Law. Bahrain DMTT will be effective for fiscal years starting on or after 1 January 2025.

The Group is a multinational enterprise that is addressed by Pillar 2, and the impact on the Group financial results arises from (i) the new Pillar 2 legislation introduced in the other GCC countries (and Egypt in case a similar legislation is introduced there), for which the incremental tax impact is assessed to be insignificant, mainly due to the relatively low taxable income generated and reported in these subsidiaries, and (ii) the potential impact if Saudi authorities introduced Domestic Minimum Top-up Tax (Saudi DMTT) in line with Pillar 2 rules. The Company is not subject to income tax and is subject only to Zakat in accordance with the applicable Zakat regulations. Therefore, incremental tax that could result from the introduction of Saudi DMTT is expected to be material, as most of the Group's income is generated from the Group's operations in the Kingdom.

As it is still unknown how and when the Saudi authorities would change the current relevant legislation in response to Pillar 2 rules, it is not practically possible to reliably and reasonably assess the impact of Pillar 2 on the Group's operations and financial results.

38 PRESENTATION OF COMPARATIVE INFORMATION

Certain comparative amounts have been re-presented to conform with the current year's presentation as follows:

During the current year ended December 31, 2025, the Group reassessed certain arrangements with service providers and vendors, the Group's role in these arrangements, and the application of judgment under IFRS 15, and concluded that the presentation of revenue on a net basis, reflecting the margin earned by the Group, would reflect the economic substance of the Group's role in these arrangements.

(All amounts in Saudi Riyals thousands unless otherwise stated)

38 PRESENTATION OF COMPARATIVE INFORMATION (continued)

Comparative information (for the year ended December 31, 2024) has been re-presented to conform with the current-period presentation as follows:

	As previously presented	***Changes***	***As re-presented***
Revenue	10,830,921	(211,658)	10,619,263
Cost of revenue	(9,506,462)	211,658	(9,294,804)
Gross profit	1,324,459	Nil	1,324,459

All comparative information about revenue and cost of revenue including revenue disaggregation and segment information are re-presented to conform with the current-period presentation.

These changes affect only the presentation of revenue and cost of revenue and do not affect the previously reported gross profit, income from operations, net income, comprehensive income, financial position, or cash flows.

39 SUBSEQUENT EVENTS

Subsequent to the reporting date, geopolitical tensions in the Middle East have intensified leading to regional instability. As at the date of issuance of these consolidated financial statements, the Group has not identified any material impact on its operations, supply chain or financial position. However, further escalation or prolongation of the conflict could potentially disrupt supply chains and increase costs.

These developments represent a non-adjusting event after the reporting period and accordingly no adjustment has been made to the amounts recognized in these consolidated financial statements.